

DINO POLSKA S.A. GROUP

CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2017

PREPARED ACCORDING TO INTERNATIONAL FINANCIAL REPORTING STANDARDS APPROVED
FOR APPLICATION IN THE EU

WITH THE AUDIT REPORT OF THE INDEPENDENT AUDITOR

Krotoszyn, 16 March 2018

Unofficial translation. Only the original Polish text is binding.

DINO POLSKA S.A. GROUP

Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
(in thousands of PLN)

Consolidated statement of profit or loss.....	5
Consolidated statement of comprehensive income	6
Consolidated statement of financial position.....	7
Consolidated statement of cash flows	8
Consolidated statement of changes in equity.....	9
Accounting principles (policies) and notes.....	10
1. General information	10
2. Composition of the Group	11
3. Composition of the parent company's Management Board	13
4. Material professional judgments and estimates	13
4.1. Professional judgment.....	13
4.2. Uncertainty of estimates and assumptions	13
5. Basis for preparation of consolidated financial statements	14
5.1. Statement of conformity.....	15
5.2. Functional currency and presentation currency	15
6. New standards and interpretations published but not yet effective.....	15
6.1. Implementation of IFRS 9	16
6.2. Implementation of IFRS 15	17
6.3. Implementation of IFRS 16	18
7. Significant accounting policies	19
7.1. Consolidation rules	19
7.2. Fair value measurement	19
7.3. Currency translations	20
7.4. Property, plant and equipment.....	21
7.4.1. Non-current assets held for sale	21
7.5. Intangible assets	22
7.5.1. Goodwill.....	22
7.6. Leases	23
7.7. Impairment of non-financial non-current assets	23
7.8. Borrowing costs.....	24
7.9. Financial assets.....	24
7.10. Impairment of financial assets.....	25
7.10.1. Assets recognized at amortized cost.....	25
7.10.2. Financial assets measured at cost	25
7.10.3. Available-for-sale financial assets.....	25
7.11. Inventories.....	26
7.12. Trade receivables.....	26
7.13. Other receivables	26
7.14. Cash and cash equivalents.....	26
7.15. Interest-bearing loans, borrowings and debt securities	26
7.16. Trade payables.....	27
7.17. Financial liabilities	27
7.18. Other non-financial liabilities.....	27
7.19. Provisions.....	27
7.20. Employee benefits	28
7.21. Revenue	28

DINO POLSKA S.A. GROUP

Consolidated financial statements for the year ended 31 December 2017

prepared in accordance with the International Financial Reporting Standards approved for application in the EU
(in thousands of PLN)

7.21.1. Sale of services to suppliers of goods	28
7.21.2. Sale of goods	28
7.21.3. Interest	28
7.21.4. Dividends	28
7.21.5. Revenue from leases (operating lease)	28
7.21.6. Government grants	29
7.22. Taxes	29
7.22.1. Current tax	29
7.22.2. Deferred tax	29
7.22.3. Value added tax	30
7.23. Earnings per share	30
8. Operating segments	30
9. Revenues and costs	30
9.1. Costs by type:	30
9.2. Depreciation and amortization costs recognized in profit or loss	31
9.3. Employee benefits	31
9.4. Other operating income	31
9.5. Other operating expenses	32
9.6. Financial income	32
9.7. Financial expenses	32
10. Income tax	33
10.1. Tax expense	33
10.2. Reconciliation of effective tax rate	33
10.3. Deferred tax	33
11. Non-current assets classified as held for sale	36
12. Earnings per share	36
13. Dividends distributed and proposed for distribution	36
14. Property, plant and equipment	37
15. Leases	39
15.1. Finance lease liabilities	39
15.2. Future minimum lease payments under operating leases (lease agreements):	39
16. Intangible assets	40
17. Other non-financial assets	41
18. Inventories	41
19. Trade and other receivables	42
20. Cash and cash equivalents	42
21. Share capital	43
21.1. Share capital	43
21.1.1. Nominal value of shares	43
21.1.2. Major shareholders	43
22. Supplementary capital and retained earnings	43
22.1. Retained earnings and restrictions on dividend distributions	44
23. Interest-bearing loans, borrowings and lease liabilities	44
24. Provisions for employee benefits	49
25. Trade and other payables and deferred revenue	50
25.1. Trade and other financial payables (short-term)	50
25.2. Other non-financial liabilities	50
25.3. Accruals and deferred revenue	51

DINO POLSKA S.A. GROUP

Consolidated financial statements for the year ended 31 December 2017

prepared in accordance with the International Financial Reporting Standards approved for application in the EU
(in thousands of PLN)

26. Notes to the consolidated statement of cash flows	51
27. Investment liabilities	52
28. Contingent liabilities	52
28.1. Litigation.....	52
28.2. Tax settlements.....	52
29. Information on related parties	52
29.1. Terms of related party transactions.....	54
29.2. Loans to Management Board members.....	54
29.3. Other transactions with participation of Management Board members	54
29.4. Remuneration for the Group's senior management	55
30. Information concerning the fee charged by the statutory auditor or the entity authorized to audit the financial statements	55
31. Objectives and principles of managing financial risk.....	55
31.1. Interest rate risk.....	56
31.2. Credit risk	56
31.3. Liquidity risk.....	56
32. Financial instruments.....	57
32.1. Fair value of individual classes of financial instruments.....	57
32.2. Revenue, expense and profit and loss items captured in the statement of profit or loss by financial instrument category	58
32.3. Interest rate risk.....	60
33. Capital management.....	60
34. Employment structure.....	60
35. Events after the reporting period	61

CONSOLIDATED STATEMENT OF PROFIT OR LOSS**for the year ended 31 December 2017**

	<i>Note</i>	<i>Year ended 31.12.2017</i>	<i>Year ended 31.12.2016</i>
Continuing operations			
Sales revenues	8	4,515,933	3,369,517
Cost of sales	9	(3,475,297)	(2,599,005)
Gross profit on sales		1,040,636	770,512
Other operating income	9.4	3,671	2,616
Sales and marketing expenses	9	(678,687)	(505,855)
General administration expenses	9	(60,025)	(49,434)
Other operating expenses	9.5	(2,353)	(2,250)
Operating profit		303,242	215,589
Financial income	9.6	655	473
Financial expenses	9.7	(37,881)	(29,607)
Profit before tax		266,016	186,455
Income tax	10	(52,412)	(35,245)
Net profit from continuing operations		213,604	151,210
Net profit for the financial year		213,604	151,210

Profit attributable:

To owners of the parent	213,604	151,210
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Earnings per share:

– basic from profit for the year attributable to owners of the parent	2.18	1.54
– basic from profit from continuing operations for the year attributable to owners of the parent	2.18	1.54
– diluted from profit for the year attributable to owners of the parent	2.18	1.54
– diluted from profit from continuing operations for the year attributable to owners of the parent	2.18	1.54

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

for the year ended 31 December 2017

	<i>Year ended</i> <i>31.12.2017</i>	<i>Year ended</i> <i>31.12.2016</i>
Net profit for the financial year	213,604	151,210
<i>Items not subject to reclassification to profit in subsequent reporting periods:</i>		
Actuarial gains/(losses) on defined benefit plans	(107)	38
Income tax on other comprehensive income	20	(7)
Net other comprehensive income not subject to reclassification to profit/(loss) in subsequent reporting periods	(87)	31
Net other comprehensive income	(87)	31
COMPREHENSIVE INCOME FOR THE YEAR	213,517	151,241
Comprehensive income attributable:		
To owners of the parent	213,517	151,241
Non-controlling shareholders	-	-
	213,517	151,241

CONSOLIDATED STATEMENT OF FINANCIAL POSITION**as at 31 December 2017**

	<i>Note</i>	<i>31.12.2017</i>	<i>31.12.2016</i>
ASSETS			
Property, plant and equipment	14	1,697,600	1,337,207
Intangible assets	16	92,774	93,072
Other non-financial assets (non-current)	17	30	-
Deferred tax assets	10.3	17,560	26,867
Total non-current assets		1,807,964	1,457,146
Inventories	18	368,262	276,541
Trade and other receivables	19	37,991	33,665
Income tax receivables		77	613
Other non-financial assets	17	34,409	22,447
Cash and cash equivalents	20	202,626	66,428
Total current assets		643,365	399,694
TOTAL ASSETS		2,451,329	1,856,840
EQUITY AND LIABILITIES			
Equity (attributable to owners of the parent)		904,493	683,476
Share capital	21.1	9,804	9,804
Supplementary capital	22	1,111,860	510,720
Retained earnings		(224,671)	162,952
Other equity		7,500	-
Non-controlling interests		-	-
Total equity		904,493	683,476
Interest-bearing loans and borrowings and finance lease liabilities	23	470,590	452,378
Bond liabilities	23	99,749	-
Other liabilities		270	300
Provisions for employee benefits	24	1,231	1,115
Deferred tax liability	10.3	3,495	5,498
Accruals and deferred revenue	25.3	548	87
Total non-current liabilities		575,883	459,378
Trade and other payables	25.1 25.2	811,322	574,426
Current part of interest-bearing loans and borrowings and finance lease liabilities	23	117,074	110,173
Bond liabilities	23	654	-
Income tax liabilities	25.2	20,729	10,268
Accruals and deferred revenue	25.3	20,824	13,227
Provisions for employee benefits	24	350	5,892
Total current liabilities		970,953	713,986
Total liabilities		1,546,836	1,173,364
TOTAL EQUITY AND LIABILITIES		2,451,329	1,856,840

CONSOLIDATED STATEMENT OF CASH FLOWS

for the year ended 31 December 2017

	<i>Note</i>	<i>Year ended</i> 31.12.2017	<i>Year ended</i> 31.12.2016
Cash flow from operating activities			
Profit before tax		266,016	186,455
Adjustments in items:		231,188	137,868
Depreciation and amortization	9.1	85,872	65,202
(Profit)/loss on investment activity		1,322	1,574
Movement in receivables	26	(16,771)	(15,592)
Movement in inventories		(91,721)	(64,395)
Movement in liabilities, except for loans and borrowings	26	239,676	127,224
Interest revenue		(496)	(440)
Interest expense		38,090	29,658
Movement in prepayments, accruals and deferred revenue		7,339	4,928
Movement in provisions	26	(5,426)	6,178
Income tax paid		(34,090)	(16,507)
Other		7,393	38
Net cash from operating activities		497,204	324,323
Cash flow from investing activities			
Sale of items of property, plant and equipment and intangible assets		7,977	1,112
Purchase of items of property, plant and equipment and intangible assets		(410,616)	(311,732)
Interest received		496	440
Net cash from investing activities		(402,143)	(310,180)
Cash flow from financing activities			
Payment of finance lease liabilities		(51,942)	(43,902)
Proceeds from obtained loans/borrowings		117,341	219,061
Repayment of loans/borrowings		(86,828)	(127,136)
Issue of debt securities		100,000	-
Interest paid		(37,434)	(29,658)
Net cash from financing activities		41,137	18,365
Net increase in cash and cash equivalents		136,198	32,508
Cash at the beginning of the period		66,428	33,920
Cash at the end of the period		202,626	66,428

Accounting principles (policies) and notes to consolidated financial statements presented on pages from 10 to 65 constitute their integral part.

DINO POLSKA S.A. GROUP

Consolidated financial statements for the years ended 31 December 2016, 31 December 2015 and 31 December 2014 prepared in accordance with the International Financial Reporting Standards approved for application in the EU

(in thousands of PLN)

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

for the year ended 31 December 2017

Note	Share capital	Attributable to owners of the parent			Total
		Supplementary capital	Retained earnings	Other equity	
As at 1 January 2017	9,804	510,720	162,952	-	683,476
Net profit for 2017	-	-	213,604	-	213,604
Net other comprehensive income for 2017	-	-	(87)	-	(87)
<i>Comprehensive income for the year</i>	-	-	<i>213,517</i>	-	<i>213,517</i>
Costs of share-based incentive system	-	-	-	7,500	7,500
Distribution of the financial result for 2016	-	601,140	(601,140)	-	-
As at 31 December 2017	21 9,804	1,111,860	(224,671)	7,500	904,493
As at 1 January 2016	9,804	393,019	129,412	-	532,235
Net profit for 2016	-	-	151,210	-	151,210
Net other comprehensive income for 2016	-	-	31	-	31
<i>Comprehensive income for the year</i>	-	-	<i>151,241</i>	-	<i>151,241</i>
Distribution of the financial result for 2015	-	117,701	(117,701)	-	-
As at 31 December 2016	21 9,804	510,720	162,952	-	683,476

Accounting principles (policies) and notes to consolidated financial statements presented on pages from 10 to 65 constitute their integral part.

ACCOUNTING PRINCIPLES (POLICIES) AND NOTES

1. General information

The DINO Polska S.A. Group (“Group”) consists of DINO Polska S.A. (“parent company”, “Company”) and its subsidiaries (see Note 2). The Group’s consolidated financial statements cover the year ended 31 December 2017 and include comparative data.

The Company was established by a Notary Deed of 9 November 2007 under the name of DINO Polska spółka z ograniczoną odpowiedzialnością.

On 21 December 2011, the Shareholder Meeting of DINO Polska spółka z ograniczoną odpowiedzialnością adopted a resolution to transform the Company into Dino Polska S.A.

The parent company is entered in the register of commercial undertakings of the National Court Register kept by the District Court for Poznań Nowe Miasto i Wilda, 9th Commercial Division of the National Court Register under file number KRS 0000408273.

The parent company has been given the following statistical number: REGON 300820828.

The Company’s registered office is located at the following address: Ostrowska 122, 63-700 Krotoszyn.

The duration of the parent company and of the entities forming part of the Group is unlimited.

The Group’s main line of business is retail sale in non-specialised stores with food, beverages or tobacco predominating.

Moreover, the Group also produces meat products, which are supplied to external customers through the Group’s retail network.

Approval of consolidated financial statements

These consolidated financial statements were approved for publication by the Management Board on 16 March 2018.

2. Composition of the Group

The Group consists of Dino Polska S.A. and the following subsidiaries:

<i>Name of entity</i>	<i>Registered office</i>	<i>Business purpose</i>	<i>Stake held by the Group</i>	
			<i>31 December 2017</i>	<i>31 December 2016</i>
DINO Polska S.A. (parent company)	Krotoszyn	Retail sale conducted in non-specialized stores with food, beverages or tobacco predominating	-	-
Agro-Rydzyna sp. z o.o.	Kłoda	Production of meat products	100%	100%
Vitrema Holdings Ltd.*	Limassol, Cyprus	Investments in properties, shares, covered bonds, bonds, provision of financial services of any type	100%	100%
Centrum Wynajmu Nieruchomości sp. z o.o.	Krotoszyn	Renting and operating of own or leased real estate	100%	100%
Centrum Wynajmu Nieruchomości 1 S.A.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Centrum Wynajmu Nieruchomości 2 S.A.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Centrum Wynajmu Nieruchomości 3 S.A.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Centrum Wynajmu Nieruchomości 4 S.A.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Centrum Wynajmu Nieruchomości 5 S.A.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Centrum Wynajmu Nieruchomości 6 S.A.	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Centrum Wynajmu Nieruchomości Marketing sp. z o.o.*	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA in liquidation*	Krotoszyn	Private purchases and sales of real estate, renting and operating of own or leased real estate, other financial service activities, activities of holding companies	100%	100%
Dino Oil sp. z o.o.*	Krotoszyn	Manufacture and processing of refined petroleum products, retail sale of automotive fuel in specialized stores	100%	100%
Dino Krotoszyn sp. z o.o.	Krotoszyn	Warehousing and storage services, processing and preserving of meat, excluding poultry meat	100%	100%
Pol-Food Polska sp. z o.o.	Krotoszyn	Leasing of intellectual property and similar products, except copyrighted works	100%	100%

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

Dino Północ sp. z o.o.*	Krotoszyn	Retail sale conducted in non-specialized stores with food, beverages or tobacco predominating	100%	100%
Dino Południe sp. z o.o.*	Krotoszyn	Warehousing and storage of goods	100%	100%

**As at the date of preparation of the consolidated financial statements, the companies did not conduct operating activity.*

As at 31 December 2017 and 31 December 2016, the share in overall number of votes held by the Group in its subsidiaries is equal to the Group's share held in their capital

The following changes took place in the Group's structure in the period from 1 January 2016 to 31 December 2017:

- on 22 December 2016, the Extraordinary Shareholder Meeting decided to dissolve Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA (in liquidation),
- in 2016, the process of liquidation of Vitrena Holdings Ltd. and Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych was started to sort out the Group's structure,
- on 26 June 2017, the Regional Court in Warsaw handed down a decision to deregister Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych w likwidacji.

3. Composition of the parent company's Management Board

As at 31 December 2017, the Management Board of the parent company was composed of:

Szymon Piduch – President of the Management Board

Michał Krauze – Management Board Member

During the reporting period and by the date of approving these consolidated financial statements, the composition of the parent company's Management Board did not change.

4. Material professional judgments and estimates

The preparation of the Group's consolidated financial statements requires the Management Board of the parent company to make judgements, estimates and assumptions that affect the presented revenues, costs, assets and liabilities and related notes and disclosures regarding contingent liabilities. Uncertainty about such assumptions and estimates may result in significant adjustments to the carrying amounts of assets and liabilities in the future.

4.1. Professional judgment

In applying the accounting policies, the Management Board has made the following judgements that have the greatest impact on the presented carrying amounts of assets and liabilities.

Classification of lease agreements

The Group classifies leases as operating or financial based on the assessment of the extent to which risks and rewards incident to ownership of a leased asset lie with the lessor or the lessee. This assessment is based on the economic content of each transaction.

4.2. Uncertainty of estimates and assumptions

Discussed below are the main assumptions concerning the future and other major sources of uncertainty existing as at the balance sheet date, which entail a significant risk of a considerable adjustment of the carrying amounts of assets and liabilities in the next financial year. In the course of drawing up the consolidated financial statements, the Group has made certain forward-looking assumptions and estimates. These assumptions and estimates may change as a result of future events resulting from market changes or changes that are not controlled by the Group. Such changes will be reflected in the estimates or assumptions at the time of their occurrence.

Impairment of trademarks and goodwill

The Group has tested the impairment of trademarks and goodwill. It required an estimate of the value in use of the cash generating unit to which the goodwill and trademarks are allocated. The estimation of value in use is based on the determination of future cash flows to be generated by the cash generating unit and requires determination of the discount rate for calculating the present value of these cash flows. The assumptions made for this purpose are presented in Note 16.

Measurement of inventories

The Group measures inventories at the lower of purchase price/production cost and net realizable price. The net realizable price is estimated as the sales price that can be achieved in the course of the entity's normal business, less the estimated costs required to finalize the sale.

Measurement of provisions for employee benefits

Provisions for employee benefits were estimated using actuarial methods. The assumptions made for this purpose, along with the sensitivity analysis, are presented in Note 24.

Estimated provisions for litigation

The Group is involved as a party in lawsuits. Based on the estimates, the Management Board has concluded that the risk of losing in the pending cases is low. Therefore, no provisions have been recognized for pending litigation.

Component of assets and liabilities and possible provisions related to current and deferred taxes

Regulations regarding VAT, corporate income tax and social security contributions are subject to frequent changes. These frequent changes result in there being little point of reference, interpretations not consistent and few established precedents that may be followed. The binding regulations also contain uncertainties resulting in differences in opinions regarding the legal interpretation of tax regulations both between government bodies, and between government bodies and companies.

Tax settlements and other areas of activity (e.g. customs or foreign currency related issues) may be subject to inspection by administrative bodies authorized to impose high penalties and fines, and any additional taxation liabilities calculated as a result must be paid together with high interest. These conditions mean that the tax risk in Poland is higher than in countries with a more mature fiscal system.

Accordingly, the amounts presented and disclosed in the financial statements may change in the future as a result of a final decision of tax audit authorities.

Effective 15 July 2016, the Polish Tax Code was amended for the General Anti-Abuse Rule (GAAR) provisions. GAAR is intended to prevent the creation and use of artificial legal arrangements to avoid payment of tax in Poland. GAAR defines tax avoidance as an act carried out primarily in order to achieve a tax benefit, contrary in the circumstances to the object and goal of a provision of a tax act. Pursuant to GAAR, such an act does not result in a tax benefit, if the mode of action was not genuine. All unjustified (i) split of operations, (ii) involvement of intermediary entities without any economic or business justification, (iii) elements that compensate or exclude each other and (iv) other actions with a similar effect to the previously mentioned, may be considered as prerequisites of artificial activities subject to GAAR. The new regulation will require significantly more judgment in assessment of the tax consequences of individual transactions.

The GAAR clause is effective with respect to transactions executed following its entry into force and transactions that were carried out before, but the benefits were / are being derived after the date of its entry into force. Implementation of the above provisions will enable the Polish tax authorities to challenge legal arrangements used by the taxpayers such as group restructurings and reorganizations.

Depreciation rates

Depreciation rates are determined based on the expected useful life of property, plant and equipment and intangible assets. On an annual basis, the Group verifies the accepted useful life periods based on current estimates.

5. Basis for preparation of consolidated financial statements

These consolidated financial statements have been prepared in accordance with the historical cost convention.

These consolidated financial statements are presented in Polish zloty ("PLN") and all amounts are given in thousands of PLN, unless otherwise stated.

These consolidated financial statements have been prepared on the assumption that the Group companies will continue as going concerns in the foreseeable future, i.e. within no less than 12 months from the balance sheet date, except for Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA (in liquidation) and Viterna Holdings Ltd. that are undergoing liquidation.

As at 31 December 2017, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where a predominant part of sales is made for cash, inventories are

minimized and suppliers offer deferred payment terms. At the same time, the Group intensively develops its network using free cash and funding from bank loans to increase the number of its operational stores. The covenants related to the loan agreements are monitored on an ongoing basis. As at the balance sheet date of 31 December 2017, there was no default on the terms and conditions of credit agreements and the Management Board is of the opinion there is no risk that banks may terminate such agreements within 12 months of the balance sheet date of 31 December 2017. As at the date of approval of these consolidated financial statements, no circumstances have been found that would indicate a threat for the Group companies' to continue as a going concern.

5.1. Statement of conformity

These consolidated financial statements have been prepared in accordance with the International Financial Reporting Standards ("IFRS") approved by the European Union ("EU IFRS"). As at the date of approving these financial statements for publication, considering the pending process of introducing IFRSs in the EU and the operations conducted by the Group, the IFRS applicable to these financial statements do not differ from the EU IFRS. The EU IFRS include standards and interpretations accepted and published by the International Accounting Standards Board ("IASB").

Some of the Group's entities keep their accounting books in accordance with the accounting policies set forth in the Accounting Act of 29 September 1994 (the "Act"), as amended, and the regulations issued on its basis ("Polish Accounting Standards"). These consolidated financial statements include a number of adjustments not included in the accounts of the Group companies, which were made to bring the financial statements of those companies into conformity with IFRS.

5.2. Functional currency and presentation currency

The Group's consolidated financial statements are presented in PLN, which is also the functional currency of the parent company and of the subsidiaries.

6. New standards and interpretations published but not yet effective

The following standards and interpretations have been issued by the International Accounting Standards Board but are not applicable to the periods presented in these financial statements:

- IFRS 9 *Financial Instruments* (published on 24 July 2014) – effective for annual periods beginning on or after 1 January 2018,
- IFRS 14 *Regulatory Deferral Accounts* (published on 30 January 2014) – the European Commission decided not to propose the standard for endorsement in its preliminary version until the final standard is published – not endorsed by the EU until the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2016,
- IFRS 15 *Revenue from Contracts with Customers* (published on 28 May 2014), including amendments to IFRS 15 *Effective Date of IFRS 15* (published on 11 September 2015) – effective for annual periods beginning on or after 1 January 2018,
- Amendments to IFRS 10 and IAS 28 *Sales or contributions of assets between an investor and its associate/joint venture* (published on 11 September 2014) – the work leading to the endorsement of these amendments has been postponed by the EU indefinitely – the effective date has been postponed by the IASB for an indefinite period of time,
- IFRS 16 *Leases* (published on 13 January 2016) – effective for annual periods beginning on or after 1 January 2019,
- Amendments to IFRS 4 *Applying IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts* (published on 12 September 2016) – effective for annual periods beginning on or after 1 January 2018,
- Clarifications to IFRS 15 *Revenue from Contracts with Customers* (published on 12 April 2016) – effective for annual periods beginning on or after 1 January 2018,
- Amendments to IFRS 2 *Classification and Measurement of Share-based Payment Transactions* (published on 20 June 2016) – not endorsed by the EU by the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2018,

- Amendments to IAS 28 *Investments in Associates and Joint Ventures* being part of the *Annual Improvements to IFRS 2014-2016 Cycle* (published on 8 December 2016) – effective for annual periods beginning on or after 1 January 2018,
- Amendments to IAS 1 *First-time Adoption of International Financial Reporting Standards* being part of the *Annual Improvements to IFRS 2014-2016 Cycle* (published on 8 December 2016) – effective for annual periods beginning on or after 1 January 2018,
- IFRIC 22 *Foreign Currency Transactions and Advance Consideration* (published on 8 December 2016) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2018,
- Amendments to IAS 40: *Transfer of Investment Property* (published on 8 December 2016) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2018,
- IFRS 17 *Insurance Contracts* (published on 18 May 2017) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2021,
- IFRIC 23 *Uncertainty over Income Tax Treatments* (published on 7 June 2017) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2019,
- Amendments to IFRS 9 *Prepayment features with negative compensations* (published on 12 October 2017) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2019,
- Amendments to IAS 28: *Long-term Interests in Associates and Joint Ventures* (published on 12 October 2017) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2019,
- *Annual Improvements to IFRS 2015-2017 Cycle* (published on 12 December 2017) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2019,
- Amendments to IAS 19 *Plan Amendment, Curtailment or Settlement* (published on 7 February 2018) – not endorsed by the EU as at the date of approval of these financial statements – effective for annual periods beginning on or after 1 January 2019.

The Management Board is in the process of analyzing the impact of the above mentioned standards, interpretations and amendments to standards on the Group's financial statements.

6.1. Implementation of IFRS 9

In July 2014, the International Accounting Standards Board published International Financial Reporting Standard 9 *Financial Instruments* ("IFRS 9"). IFRS 9 covers three aspects related to financial instruments: classification and measurement, impairment and hedge accounting. IFRS 9 is effective for annual periods beginning on or after 1 January 2018. Earlier application is permitted.

The Group plans to apply IFRS 9 as of the effective date of the standard, without restating the comparative data.

In 2017, the Group conducted a detailed assessment of the impact that the application of IFRS 9 would have on the Group's accounting policies in the context of its operations and on its financial results. This assessment is based on currently available information and may change if additional reasonable and documented information is obtained in the period, in which the Group will apply IFRS 9 for the first time.

The Group does not expect the introduction of IFRS 9 to have a significant impact on the statement of financial position and on equity. The Group does not expect an increase in impairment losses with a negative impact on equity, as discussed below. Moreover, the Group does not expect any changes in the classification of financial instruments after the application of IFRS 9.

a) Classification and measurement

The Group does not expect any significant impact on the statement of financial position and on equity in connection with the application of IFRS 9 in the classification and measurement area. The Group does not hold any financial assets measured at fair value and all of its financial assets previously measured at amortized cost will continue to be measured at amortized cost.

Trade receivables are held in order to collect contractual cash flows and the Group does not sell trade receivables in factoring schemes – they will continue to be measured at amortized cost through profit or loss. The Group uses a practical exemption and for trade receivables under 12 months does not identify significant financing components.

b) Impairment

Under IFRS 9, an entity measures a loss allowance for expected credit losses at the amount equal to the financial instrument's 12-month expected credit losses or lifetime expected credit losses. For trade receivables, the Group will apply a simplified approach and measure a loss allowance for expected credit losses at the amount equal to the instrument's lifetime expected credit losses.

The Management Board believes that, because of the nature of trade receivables, the change in the method of estimating impairment loss will not be significant.

c) Hedge accounting

Since the Group does not apply hedge accounting, the changes arising out of the application of IFRS 9 in this respect will not affect the Group's financial statements.

To conclude, the Management Board believes that the application of the standard will not have a material effect on an increase or decrease of equity as at 31 December 2017.

6.2. Implementation of IFRS 15

International Financial Reporting Standard 15 *Revenue from Contracts with Customers* ("IFRS 15"), which was issued in May 2014 and subsequently amended in April 2016, establishes the "Five-Step Revenue Recognition Model. Under IFRS 15, revenue is recognized in an amount of consideration to which the entity expects to be entitled in exchange for transferring the promised goods or services to the customer.

The new standard will replace all the previously existing revenue recognition requirements under IFRS. The standard is effective for annual reporting periods beginning on or after 1 January 2018. Earlier application is permitted.

The Group may choose a full or modified retrospective approach and the transitional provisions provide for certain practical solutions.

The Group plans to apply IFRS 15 from the effective date of the standard and take advantage of the modified retrospective method, i.e. with the total effect of the first application of the standard recognized on the date of first application.

The Group conducts its operations in the area of:

a) Sale of goods and products manufactured in the Group

The Group's main line of business is retail sale in non-specialised stores with diverse assortment (mainly food, beverages and tobacco) and products (culinary meat products). Sales of goods in own and leased shops directly to individual (retail) customers represented approximately 98% of the Group's revenues. The Group also cooperates with one franchisee in the area of sales of goods and products. The amount of revenue on sales of goods and products to the franchisee represents approximately 1.5% of the Group's total revenues.

If the agreement contains only one performance obligation, such as the sale of goods or products manufactured in the Group, it is the Management Board's assessment that the impact of adopting IFRS 15 on the recognition of revenue and the Group's financial results under such agreements will not be significant. Revenues will be recognized at a specific point in time, that is when a customer takes control of the goods or products (at the moment of sale and payment in the store by a retail customer) or at the moment the franchisee takes control of the goods and products.

b) Sale of rental services provided in different times

The Group also provides lease services. The Group believes that in transactions under lease agreements, the customer simultaneously receives and consumes the benefits provided by the Group's service as the Group performs the service. As a result, the Group transfers control and thus satisfies its performance obligation over time. The Management Board believes that the impact of adopting IFRS 15 on the recognition of revenue and the Group's financial results under such agreements will not be significant – the Group will continue to recognize revenues from the sale of lease services over time.

In assessing the impact of application of IFRS 15, the Group considered the following aspects: variable consideration, right of return or awarding options for additional goods or services.

The Group generates most of its revenue on sales of food and it is not obliged to accept returns of food products and goods sold. At the time of transferring an asset to a customer (the customer obtaining control over the asset), the Group does not expect the goods and products sold to be returned in the future.

The Group does not enter into agreements with customers that contain variable consideration (revenue) elements resulting from discounts, rebates or profit-sharing and does not grant its customers options to acquire additional goods or services for free or at a discount in the form of sales incentives or loyalty points

IFRS 15 introduces new requirements for presentation and disclosure. The Group believes that due to the undiversified nature of its operations, the impact of the new standard on disclosures will not be material. However, the Management Board assumes the possibility of modifying the previous disclosures, if their changes would enable users of financial statements to better understand the nature, amount, timing and uncertainty of revenue and cash flows.

The recognition and measurement requirements under IFRS 15 also apply to the recognition and measurement of a gain/loss on disposal of non-financial assets (such as property, plant and equipment and intangible assets) when such disposal is not within the normal course of business. The Group believes however that the impact of adopting IFRS 15 in this respect should not be significant.

To conclude, the Group expects the application of IFRS 15 not to have an effect on an increase or decrease of equity as at 31 December 2017.

6.3. Implementation of IFRS 16

In January 2016, the International Accounting Standards Board issued International Financial Reporting Standard 16 *Leases* ("IFRS 16"), which replaced IAS 17 *Leases*, IFRIC 4 *Determining Whether an Arrangement Contains a Lease*, SIC 15 *Operating Leases – Incentives* and SIC 27 *Evaluating the Substance of Transactions in the Legal Form of a Lease*. IFRS 16 sets out the principles of recognition of leases in respect to their measurement, presentation and disclosure.

IFRS 16 standard provides a single lessee accounting model, requiring lessees to recognize assets and liabilities for all leases unless the lease term is 12 months or less or the underlying asset has a low value. On the commencement date, a lessee recognizes an asset for the right to use the underlying asset and a lease liability that reflects its obligation to make lease payments.

The lessee recognizes separately the amortization of the right-to-use asset and interest on the lease liability.

The lessee updates the measurement of the lease liability after specific events occur (e.g. changes in the lease term, changes in future lease payments resulting from a change in an index or rate used to calculate such payments). As a rule, the lessee recognizes the revaluation of the lease liability as an adjustment to the value of the right-to-use asset.

The Group is a lessee in the contracts for the lease of premises and warehouse space.

The lessor's accounts under IFRS 16 remain substantially unchanged compared to the current accounting under IAS 17. The lessor will continue to account for all leases using the same classification principles as IAS 17, distinguishing between operating leases and finance leases.

IFRS 16 requires both the lessee and the lessor to make more extensive disclosures than IAS 17.

The lessee has the right to choose a full or modified retrospective approach and the transitional provisions provide for certain practical solutions.

IFRS 16 is effective for annual periods beginning on or after 1 January 2019. Earlier application is permitted for the entities that apply IFRS 15 from or before the date of first application of IFRS 16. The Group has not elected the early application of IFRS 16.

As at the date of approval of these consolidated financial statements for publication, the Management Board is conducting a detailed assessment of the impact that the application of IFRS 16 would have on the Group's accounting policies in the context of its operations and on its financial results.

The Group estimates that the adoption of IFRS 16 *Leases* may to some extent increase both its non-current assets and financial liabilities in connection with lease contracts for the use of premises and warehouse space.

Additionally, the Management Board is taking action to determine the direction and estimate the potential impact of IFRS 16 on the right of perpetual usufruct of land, which is the basis for the Group's use of many properties on which its stores operate.

7. Significant accounting policies

7.1. Consolidation rules

These consolidated financial statements include the financial statements of DINO Polska S.A. and the financial statements of its controlled entities (subsidiaries), in each case prepared for the years ended 31 December 2017 and 31 December 2016.

The financial year of the parent company and the group companies is the calendar year with the exception of Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA (in liquidation).

The financial statements of the subsidiaries, after taking into consideration adjustments introduced to make them compliant with IFRS, are prepared for the same reporting period as the statements of the parent company, applying consistent accounting principles, based on uniform accounting principles applied for transactions and similar economic events. Adjustments are made in order to eliminate any discrepancies in the application of accounting policies.

All significant balances and transactions between the Group companies, including unrealized profits and losses on intra-group transactions, have been eliminated in their entirety. Unrealized losses are ignored, unless they constitute a proof of impairment.

Subsidiaries are consolidated starting from the date when the Group assumes control over them and cease to be consolidated when control is lost. The parent company has control only if it has:

- has power over the entity,
- is subject to exposure, or rights, to variable returns from its involvement with the entity,
- the ability to affect those returns through power over the entity.

The Company verifies the fact of having power over other entities if there is a situation indicating a change in one or more of the above mentioned pre-conditions for control.

Where the Company holds less than a majority of voting rights in an entity, but the voting rights held are sufficient to unilaterally direct the relevant activities of that entity, this means that it exercises authority over the entity. When assessing whether the voting rights in a given entity are sufficient to secure power, the Company analyzes all material circumstances, including:

- the size of the holding of voting rights compared to the size of the holding of shares and the degree of dispersion of voting rights held by other shareholders;
- potential voting rights held by the Company, other shareholders or other parties;
- rights arising from other contractual arrangements; and
- additional circumstances, which may prove whether the Company has the ability to direct the relevant activities at the moment of the decisions, including voting patterns observed at previous shareholder meetings.

Changes in a parent's ownership interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions. In such circumstances the carrying amounts of the controlling and non-controlling interests should be adjusted by the Group to reflect the changes in their relative interests in the subsidiary. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received should be recognized in equity and attributed to the owners of the parent.

7.2. Fair value measurement

Fair values of financial instruments measured at amortized cost are presented in note 32.

Fair value is defined as the price that would be received from the sale of an asset or paid to transfer a liability in an orderly transaction to sell the asset between market participants at the measurement date under current market conditions. A fair value measurement is based on an assumption that the asset sale or liability transfer transaction is conducted either:

- in the principal market for the asset or liability; or
- in the absence of a principal market, in the most advantageous market for the asset or liability.

Both the principal market and most advantageous market must be available to the Group.

The fair value of an asset or liability is determined using the assumption that market participants act in their best economic interest when determining the price of an asset or liability.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All the assets and liabilities measured at fair value or whose fair value is shown in the consolidated financial statements are classified by means of the fair value hierarchy as described below, based on the lowest level of inputs required to measure fair value as a whole:

- Level 1 - Quoted market prices (unadjusted) in active markets for identical assets or liabilities,
- Level 2 - Valuation methods for which the lowest level of inputs required to measure fair value as a whole is directly or indirectly observable.
- Level 3 - Valuation methods for which the lowest level on inputs required to measure fair value as a whole is unobservable.

For each balance sheet date, in the case of assets and liabilities occurring in the consolidated financial statements, the Group assesses whether transfers between fair value hierarchy levels have taken place by reassessing the classification to individual levels, based on the materiality of the inputs from the lowest level, which is relevant to the fair value measurement as a whole.

Summary of significant fair value measurement processes.

The Group sets forth rules and procedures regarding both regular measurement of unquoted financial assets to fair value and one-off measurement, e.g. in the case of assets held for sale in discontinued operations.

Independent appraisers are involved in the valuation of significant assets such as investment property and available-for-sale assets.

For the purpose of disclosing the fair value measurement results, the Group identified the asset and liability classes based on the type, characteristics and risk related to particular assets and liabilities and their fair value hierarchy level, as described above.

7.3. Currency translations

Transactions denominated in currencies other than PLN are translated into zloty at the rate effective on the transaction date.

As at the balance sheet date, monetary assets and liabilities denominated in currencies other than PLN are translated into zloty at the mid exchange rate quoted for a given currency by the National Bank of Poland (NBP) at the end of the reporting period. The resulting foreign exchange gains and losses are recognized as financial income/expenses or, where the accounting policies so provide, capitalized in the value of assets. Non-monetary assets and liabilities recognized at historical cost and expressed in a foreign currency are recognized at the historical rate in effect on the transaction date. Non-monetary assets and liabilities measured at fair value expressed in a foreign currency are translated at the exchange rate effective on the date of the fair value measurement. Gains or losses arising out of translation of non-monetary assets and liabilities recognized at fair value are recognized in

the same way as any gain or loss arising out of a change in fair value is recognized (i.e. in other comprehensive income or in profit or loss, as appropriate, depending on where the change in fair value is recognized).

For the purposes of balance sheet measurement, the following exchange rates have been assumed:

	<i>31 December 2017</i>	<i>31 December 2016</i>
EUR	4.1709	4.4240

The functional currency of foreign subsidiaries is PLN.

Goodwill arising out of the acquisition of a foreign entity and any adjustments resulting from the measurement to fair value of assets and liabilities on such an acquisition are treated as assets or liabilities of such a foreign entity and translated at the average exchange rate set for the currency by the National Bank of Poland in effect on the balance sheet date.

The average weighted exchange rates for individual financial periods were as follows:

	<i>Year ended 31 December 2017</i>	<i>Year ended 31 December 2016</i>
EUR	4.2576	4.3625

7.4. Property, plant and equipment

Property, plant and equipment are stated at purchase prices/production cost less accumulated depreciation and impairment losses. The initial value of fixed assets includes their purchase price plus all the costs directly related to the purchase and bringing the asset to the condition necessary for its use. This cost also includes the cost of replacement of component parts of machinery and equipment, which is recognized when incurred if relevant criteria are met. Costs incurred after a fixed asset is put into operation, such as costs of maintenance and repair, are charged to profit or loss when incurred. Property, plant and equipment also includes advances on future purchases of property, plant and equipment.

Upon purchase, fixed assets are divided into components, which represent items of significant value that can be allocated to a separate period of useful life. The costs of major overhauls are also a component part.

Property, plant and equipment is depreciated on a straight-line basis over their estimated economic useful lives, as detailed in the following table:

<i>Type</i>	<i>Period</i>
Buildings and structures	10-40 years
Plant and equipment	3-12 years
Means of transport	5-7 years
Other fixed assets	2-12 years

The residual values, useful economic lives and depreciation methods are reviewed annually and adjusted if required as at the balance sheet date.

A property, plant and equipment item may be derecognized from the consolidated statement of financial position after its disposal or when no economic benefits are expected from the continued use of the asset. All the profits or losses resulting from removing an asset from the consolidated statement of financial position (calculated as a difference between the possible net sale price and the carrying amount of the item) are recognized in profit or loss of the period when such removal took place.

Investments in progress are fixed assets under construction or under assembly and are recognized at purchase price or production cost less any impairment loss. Fixed assets under construction are not depreciated until the construction is completed and the fixed asset is put to use.

7.4.1. Non-current assets held for sale

Non-current assets and their groups to be sold are classified by the Group as held for sale if their carrying amount is recovered as a result of a sale transaction rather than from their continued use. This condition can only be satisfied if the sale transaction is highly probable and the asset is available for immediate sale in its present

condition. Classification of an asset as held for sale assumes that the Company's management intends to make a sale within one year of classification. Non-current assets classified as held for sale are measured at the lower of their carrying amount or fair value less costs to sell.

If the Group wishes to make a disposal as a result of which it would lose control over its subsidiary then all assets and liabilities of that subsidiary are classified as held for sale, regardless of whether the Group will retain non-controlling interests after the transaction.

7.5. Intangible assets

Intangible assets acquired in a separate transaction or produced (if they meet the criteria for being recognized under cost of research and development) are initially carried at purchase price or production cost. The purchase price of intangible assets acquired in a business combination is equivalent to their fair value as at the date of the combination. After initial recognition, intangible assets are recognized at purchase price or production cost, less accumulated amortization and impairment loss. Outlays incurred for intangible assets developed in-house, with the exception of the outlays incurred for development work, are not capitalized and are recognized as costs of the period in which they were incurred.

The Group determines whether intangible assets have definite or indefinite useful lives. Intangible assets with indefinite useful lives are amortised over their useful lives and assessed for impairment whenever there is an indication of impairment. Useful lives are reviewed each year. Any changes in the expected useful life or in the expected consumption of economic benefits from the asset are recognized by changing the amortization period or method accordingly and treated as changes to estimated amounts. Amortization of intangible assets with specified useful lives is recognized in profit or loss in the category that corresponds to the function of the relevant intangible asset.

Intangible assets with indefinite useful lives (goodwill and trademarks) and those which are not used are subjected to an impairment test at the level of individual assets or a cash-generating unit.

A summary of the principles applied by the Group to intangible assets is presented below:

<i>Goodwill and trademarks</i>	
Useful lives	Unspecified
Impairment test	Annual
<i>Other intangible assets</i>	
Useful lives	2-10 years
Amortization method used	Straight line method
Impairment test	Annual evaluation whether or not evidence of impairment exists.

Gains or losses arising upon derecognition of intangible assets from the consolidated statement of financial position are calculated at a difference between net sales revenues and the carrying amount of the asset and are recognized in profit or loss when they are derecognized from the consolidated statement of financial position.

7.5.1. Goodwill

Goodwill arising from the acquisition of a business is initially recognized at purchase price as an excess of:

- the consideration transferred,
- the amount of any non-controlling interest in the acquiree, and
- in a business combination achieved in stages, the acquisition-date fair value of the acquirer's previously held *equity interest* in the acquiree

over the net fair value of the identifiable assets acquired and liabilities assumed, as determined on the date of acquisition.

After initial recognition, goodwill is measured at purchase price less all the accumulated impairment losses. Goodwill is tested for impairment once a year or more frequently if necessary. Goodwill is not amortized.

At the acquisition date, the acquired goodwill is allocated to each cash-generating unit which may take advantage of the synergy of the combination. Each unit or group of units to which goodwill has been allocated:

- corresponds to the lowest level in the Group at which goodwill is monitored for internal management purposes and

- is not greater than a single business segment as defined in IFRS 8 Operating Segments.

An impairment loss is determined by estimating the recoverable amount of the cash-generating unit to which the relevant goodwill has been allocated. If the recoverable amount of the cash-generating unit is lower than the carrying amount, an impairment loss is recognized. If goodwill is a part of a cash-generating unit and a part of the business within the unit is sold, the goodwill connected with the business sold, when determining profit or loss from the sale of such business, will be included in its carrying amount. In such circumstances, the goodwill sold is calculated based on the relative value of the business sold and the value of the retained part of the cash generating unit.

7.6. Leases

Group as a lessee

The finance leases that transfer to the Group substantially all risks and benefits resulting from possession of the object of lease are recognized in the consolidated statement of financial position as of the date of commencing the lease, in the lower of two values: the fair value of the fixed asset being the object of the lease or the present value of minimum lease payments. Lease payments are apportioned between financial costs and the reduction of the outstanding lease liability, so as to produce a constant rate of interest on the outstanding lease liability. Financial expenses are recognized directly in the profit or loss, unless the capitalization criteria are met.

Fixed assets used under finance leases are depreciated in the shorter of the two periods: the estimated period of using the fixed asset or the period of lease.

Lease agreements under which the lessor retains essentially all the risks and all the benefits derived from possession of the leased item are classified as operating lease agreements. Operating lease payments and subsequent lease installments are recognized as operating expenses through profit or loss using the straight line method during the leasing period.

Conditional lease payments are recognized as an expense in the period in which they become due.

7.7. Impairment of non-financial non-current assets

The Group assesses at each balance sheet date whether there is any indication that a non-financial non-current asset may be impaired. If any such indication exists, or if there is a need to perform an annual impairment testing, the Group estimates the recoverable amount of the asset or the cash-generating unit to which the asset belongs.

Recoverable amount of an asset or a cash generating unit is equal to either: its fair value less the cost to sell such asset or cash generating unit, or its value in use, whichever is higher. Recoverable amount is determined for individual assets, unless the asset does not by itself generate any cash proceeds, which are mostly independent from those generated by other assets or asset groups. If the carrying amount is higher than the recoverable amount then an impairment loss is recognized. When estimating the value in use, the forecast cash flows are discounted to their present value using the discount rate before the effects of taxation are taken into account, which reflects the current market estimation of time value of money and risk typical for a given asset. Impairment losses on assets used in the continuing operations are recognized in those cost categories that correspond to the function of the impaired asset.

On each balance sheet date, the Group assesses whether any evidence exists that the impairment loss recognized in prior periods for an asset is no longer necessary or whether it should be reduced. If such evidence exists, the Group estimates the recoverable amount of the asset. The previously recognized impairment loss is reversed only when the estimated values used to determine the recoverable amount of the asset changed since the last impairment loss was recognized. If this is the case, the carrying amount of the asset is increased to its recoverable amount. The increased carrying amount of an asset attributable to a reversal of an impairment loss will not exceed the carrying amount that would have been determined (net of amortization or depreciation) had no impairment loss been recognized for the asset in prior years. A reversal of an impairment loss for an asset is recognized immediately as revenue. After a reversal of an impairment loss is recognized, the depreciation (amortization) charge for the asset will be adjusted in future periods to allocate the asset's revised carrying amount, less its residual value, on a systematic basis over its remaining useful life.

7.8. Borrowing costs

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset, i.e. one that requires substantial period of time to get ready for its intended use, are capitalized as part of purchase price or production cost of that fixed asset. The Group holds no assets that require a substantial period of time to get ready for its intended use and therefore borrowing costs are not capitalized.

7.9. Financial assets

Financial assets are classified in the following categories:

- Financial assets held to maturity,
- Financial assets at fair value through profit or loss,
- Loans and receivables,
- Available-for-sale financial assets,

Held-to-maturity financial assets are non-derivative financial assets quoted on an active market, with fixed or determinable payments and fixed maturities, which the Group has the positive intention and ability to hold to maturity, other than:

- those designated upon initial recognition as financial assets at fair value through profit or loss,
- those designated as available for sale,
- those that meet the definition of loans and receivables.

Financial assets held to maturity are measured at amortized cost using the effective interest rate method. Financial assets held to maturity are classified as non-current assets if their maturity is more than 12 months from the balance sheet date.

A financial asset at fair value through profit or loss is a financial asset that meets either of the following conditions:

a) it is classified as held for trading. A financial asset is classified as held for trading if it:

- is acquired or incurred principally for the purpose of selling or repurchasing it in the near term;
- is part of a portfolio of identified financial instruments that are managed together and for which there is probability of short-term profit-taking;
- is a derivative, except for a derivative that is an element of hedge accounting or a financial guarantee contract;

b) has been assigned to this category under IAS 39 upon initial recognition.

Financial assets at fair value through profit or loss are measured at fair value, based on their market value on the balance sheet date, without reflecting sales transaction costs. Any changes in the value of these instruments are recognized directly in the consolidated profit and loss account as finance income (positive net changes of fair value) or expenses (negative net changes of fair value). An entire contract can be designated as a financial asset at fair value through profit or loss if it contains one or more embedded derivatives. The above does not apply when an embedded derivative has no significant impact on cash flows generated by the original contract it is clear with little or no analysis when a similar hybrid instrument is first considered that separation of the embedded derivative is prohibited. Financial assets can be initially designated as financial assets at fair value through profit or loss when the following criteria are met: (i) such designation eliminates or significantly reduces a measurement or recognition inconsistency (accounting mismatch) that would otherwise arise, or (ii) assets are part of a group of financial assets that are managed and valued based on fair value, according to a well-documented risk management strategy, or (iii) financial assets contain embedded derivatives, which should be presented separately. As at 31 December 2017 and as at 31 December 2016, no financial assets have been designated as at fair value through profit or loss.

Loans and receivables are financial assets with fixed or determinable payments not classified as derivatives and unquoted on any active market. They are classified as current assets if their maturity does not exceed 12 months from the balance sheet date. Loans and receivables with a maturity exceeding 12 months from the balance-sheet date are classified as non-current assets.

Available-for-sale financial assets are financial assets that are not derivative instruments, which have been classified as being available for sale or not belonging to any of the previous three categories. Available-for-sale financial assets are recognized at fair value plus transaction costs that are directly attributable to the acquisition or issue of the financial asset or financial liability. If there are no exchange quotations available on an active market and their value cannot be reliably determined using alternative methods, available-for-sale financial assets are

measured at purchase price adjusted for impairment losses. The positive or negative differences between fair value and purchase price of available-for-sale financial assets (if there is a quoted price on an active market or when fair value can be reliably established otherwise), less deferred tax, is recognized in other comprehensive income. A decrease in the value of assets available for sale due to impairment is recognized as financial expenses.

Any purchase or sale of financial assets is recognized as at the transaction date. Upon initial recognition, a financial asset is measured at fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs directly attributable to the acquisition.

A financial asset is removed from the consolidated statement of financial position when the Group loses control over contractual rights comprising a given financial instrument; this is usually the case when the instrument is sold or when all cash flows attributable to the instrument are transferred to an independent third party.

In a situation where the Group:

- currently has a legally enforceable right to set off the recognized amounts
- intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously

a financial asset and a financial liability are offset and the net amount presented in the consolidated statement of financial position.

The master netting arrangement described in IAS 32.50 does not provide a basis for offsetting unless both of the criteria described above are satisfied.

7.10. Impairment of financial assets

The Group assesses at each balance sheet date whether there is any objective evidence that a financial asset or group of financial assets is impaired.

7.10.1. *Assets recognized at amortized cost*

If there are objective indications that any loans and receivables recognized at amortized cost are impaired, the amount of the impairment loss is determined as the difference between the carrying amount of the financial asset and the present value of the estimated future cash flows (excluding estimated losses due to future loan defaults that have not yet occurred), the discount rate being the original effective interest rate for the financial asset, i.e. the effective interest rate determined on initial recognition. The carrying amount of the asset is reduced through a loss allowance account. The amount of the loss is recognized in profit or loss.

The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and also evidence of impairment for financial assets that are not individually significant. If the analysis shows that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not then the Group includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognized are not included in a collective assessment of impairment.

If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognized, the previously recognized impairment loss is reversed. A subsequent reversal of the impairment loss is recognized in profit or loss to the extent that the carrying amount of the asset at the reversal date does not exceed its amortized cost.

7.10.2. *Financial assets measured at cost*

If there is objective evidence that an impairment loss has been incurred on an unquoted equity instrument that is not carried at fair value because its fair value cannot be reliably measured, or on a derivative asset that is linked to and must be settled by delivery of such an unquoted equity instrument, the amount of the impairment loss is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset.

7.10.3. *Available-for-sale financial assets*

If there is objective evidence that an impairment loss has been incurred on an available-for-sale financial asset then the amount of the difference between the purchase price (net of any principal repayment and amortization)

and current fair value, less any impairment loss on that financial asset previously recognized in profit or loss, is removed from equity and recognized in profit or loss.

A reversal of an impairment loss on equity instruments classified as available for sale may not be recognized in profit or loss. If, in a subsequent period, the fair value of an available-for-sale debt instrument increases, and the increase may be attributed objectively to an event occurring after the recognition of the impairment loss, the impairment loss should be reversed, with the amount of the reversal recognized in consolidated profit or loss.

7.11. Inventories

Inventories are measured at the lower of purchase price/production cost and the net realizable price.

The purchase price or the production cost of an inventory component takes into account the costs of purchase, the costs of conversion and other equipment costs incurred in bringing the inventories to make their present location and condition - both in terms of the current and the previous year - and are determined as follows:

Materials	- at purchase price using the "first in, first out" method
Finished goods and work in progress	- the cost of direct materials and labor and an appropriate overhead of indirect manufacturing costs determined under the assumption of normal production capacity utilization, excluding borrowing costs
Merchandise	- at purchase price using the "first in, first out" method

The net realizable price is the estimated sales price that can be achieved in the course of the entity's normal business, less the costs of finishing and the estimated costs required to finalize the sale. The costs of transport from the warehouse to the stores are an element of valuation of the inventories and cost of sales at the time of their sale.

7.12. Trade receivables

Trade receivables are recognized and measured at originally invoiced amounts, including impairment losses for doubtful receivables. An impairment loss for receivables is estimated when the recovery of the full amount of the receivable is no longer probable.

If the effect of the time value of money is material, the amount of receivables is determined by discounting projected future cash flows to their present value using pre-tax discount rates reflecting current market estimates of the time value of money and risks, if any, specific to a given obligation. If the discount method is applied, an increase in receivables as a result of lapse of time is recognized in financial income.

7.13. Other receivables

Other receivables include, in particular, receivables from sales vouchers, bid deposits made to purchase property, plant and equipment and receivables from employees. Receivables from the state budget are presented under other non-financial assets, except for corporate income tax receivables, which constitute a separate item in the consolidated statement of financial position.

7.14. Cash and cash equivalents

Cash and short-term deposits presented in the consolidated statement of financial position include cash at bank and in hand, as well as short-term deposits with an original maturity of up to three months and cash in transit due to card payments.

The balance of cash and cash equivalents shown in the consolidated statement of cash flows includes the cash and cash equivalents listed above.

The Group does not charge and does not have funds for the Social Fund in accordance with the Remuneration Bylaws.

7.15. Interest-bearing loans, borrowings and debt securities

At initial recognition, all bank loans, borrowings and debt securities are recognized at fair value less the cost of obtaining the loan or borrowing.

After initial recognition, interest-bearing loans, borrowings and debt securities are measured at amortized cost using the effective interest rate method.

When calculating amortized cost, the cost of obtaining the loan or borrowing must be taken into account, as well as any discounts and bonuses obtained in connection with the liability.

Revenues and costs are recognized in profit or loss upon derecognition of the liability from the consolidated statement of financial position and also as a result of a settlement using the effective interest rate method.

7.16. Trade payables

The amount of trade payables is determined by discounting projected future cash flows to their present value using pre-tax discount rates reflecting current market estimates of the time value of money and risks, if any, specific to a given obligation. If a discounting-based method was used, an increase of a liability associated with passage of time is recognized as financial expenses.

The Group assumes the discount rate at the level of the average interest rate on the Group's financial liabilities in the period.

The average discount rate used to discount trade payables was 3.11% in 2016 and 3.11% in 2017.

The Group classifies reverse factoring liabilities as trade payables. The Group's supplier financing program does not incur any costs related to this program and does not change payment dates.

7.17. Financial liabilities

Financial liabilities measured at fair value through profit or loss include financial liabilities held for trading and financial liabilities originally classified as at fair value through profit or loss. Financial liabilities are classified as held for trading if they were acquired for the purposes of sale in the near future. Derivatives, including separated embedded instruments, are also classified as held for trading, unless they are deemed to be effective hedging instruments. Financial liabilities may be designated upon initial recognition as at fair value through profit or loss, if the following criteria are met: (i) such designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise, or (ii) liabilities are part of a group of financial liabilities that are managed and valued based on fair value, according to a well-documented risk management strategy, or (iii) financial liabilities contain embedded derivatives, which should be presented separately. As at 31 December 2017 and as at 31 December 2016, no financial liabilities have been designated as at fair value through profit or loss.

Other financial liabilities not classified as financial instruments at fair value through profit or loss are measured at amortized cost using the effective interest rate method.

The Group derecognizes a financial liability from its consolidated statement of financial position if the liability has expired, i.e. when the obligation specified in the contract is discharged or cancelled or expires. Replacement of an existing debt instrument with another one with substantially different terms, performed between the same parties, is recognized by the Group as an extinguishment of the original financial liability and recognition of a new financial liability. Similarly, a substantial modification of the terms of an existing financial liability is accounted for by the Group as an extinguishment of the original financial liability and the recognition of a new financial liability. Differences in carrying amounts resulting from such an exchange are recognized in profit or loss.

7.18. Other non-financial liabilities

Other non-financial liabilities include in particular liabilities to the tax office on account of value added tax and local taxes and liabilities on account of received advance payments to be settled by deliveries of goods or services. Other non-financial liabilities are recognized at the amount of required payment.

7.19. Provisions

Provisions are recognized when the Group has an obligation (legal or constructive) resulting from past events and when it is probable that the discharge of this obligation will cause an outflow of economic benefits, and the amount of the obligation may be reliably estimated. When the Group expects to receive a reimbursement of the costs covered by the provision, for example under an insurance agreement, then the reimbursement is recognized as a

separate asset when, and only when, it is virtually certain that reimbursement will be received. The costs tied to a provision are recognized in the consolidated profit and loss account net of any reimbursements.

If the effect of the time value of money is material, the amount of provisions is calculated by discounting projected future cash flows to their present value using a discount rate reflecting current market estimates of the time value of money and risks, if any, specific to a given obligation. If the discount method is applied, an increase in provisions as a result of lapse of time is recognized in financial expenses.

7.20. Employee benefits

In accordance with internal remuneration regulations, Group employees are entitled to retirement severance benefits. Retirement severance benefits are paid out as a one-off benefit upon retirement. The amount of retirement severance benefits depends on the number of years of employment and the average salary. The Group makes a provision for retirement severance benefits in order to allocate costs of those allowances to the periods, to which they relate. Under IAS 19, retirement severance benefits are post-employment defined benefit plans. The present value of these commitments for each balance sheet date is calculated by an independent actuary. The balance of these liabilities equals discounted payments which will be made in the future and accounts for staff turnover, and relate to the period to the balance sheet date. Demographic information and employee turnover information are based on historical data.

The remeasurement of employee benefit liabilities relating to defined benefit plans, including actuarial gains and losses, is recognized in other comprehensive income and is not reclassified subsequently to profit or loss.

The Group recognizes the following changes in net liabilities on account of defined benefits as part of: the cost of sales, general administration expenses and sales and marketing expenses, respectively, which are composed of

- service cost (including, but not limited to, current service cost, past service cost)
- net interest on the net defined benefit liability.

7.21. Revenue

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured. Revenue is measured at fair value of the consideration received or receivable, net of value added tax (VAT) and trade discounts. The criteria presented below apply also to the recognition of revenues.

7.21.1. *Sale of services to suppliers of goods*

Revenues related to the benefits from the sale of services to suppliers of goods (e.g. marketing services) are presented by the Group as a deduction in cost of goods purchased from such suppliers.

7.21.2. *Sale of goods*

Revenue is recognized when significant risks and rewards of ownership of goods and products have been transferred to the buyer and the revenue amount can be measured reliably.

7.21.3. *Interest*

Interest revenue is recognized gradually as it accrues (taking into account the effective interest rate method which serves as the discounting rate for future financial inflows during the estimated lifetime of financial instruments) in relation to the net carrying amount of a particular financial asset.

7.21.4. *Dividends*

Dividends are recognized when the shareholder's right to receive payment is established.

7.21.5. *Revenue from leases (operating lease)*

Revenues from leases of property are recognized using the straight-line method for the entire term of lease, in relation to active agreements.

7.21.6. Government grants

Government grants are recognized at their fair value where there is reasonable assurance that the grant will be received and all attaching conditions will be complied with.

If a grant relates to an expense item, it is recognized as other operating income over the period necessary to match the grant on a systematic basis to the costs that the grant is intended to compensate. Where the grant relates to an asset, the fair value is credited to a deferred revenue account and is gradually recognized in profit or loss over the expected useful life of the related asset by equal annual instalments.

7.22. Taxes

7.22.1. Current tax

Current tax liabilities and assets for the current and prior periods are measured at the amount expected to be paid to (recovered from) the taxation authorities, using the tax rates and tax laws that have been enacted or substantively enacted by the balance sheet date.

7.22.2. Deferred tax

For the purposes of financial reporting, deferred tax is calculated by using the method of balance sheet liabilities in relation to all temporary differences as at the balance sheet date between the tax value of assets and liabilities and their carrying amount shown in the consolidated financial statements.

Deferred tax liability is recognized for all taxable temporary differences:

- except to the extent that the deferred tax liability arises from the initial recognition of goodwill or the initial recognition of an asset or liability in a transaction which is not a business combination, and, at the time of the transaction, does not affect the net profit (loss) under financial accounting or tax accounting, and
- in the case of taxable temporary differences associated with investments in subsidiaries or associates, and interests in joint ventures, unless the investor is able to control the timing of the reversal of the temporary differences or it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognized in relation to all deductible temporary differences, unused tax credit, and unused tax losses brought forward in the amount of the probable taxable income which would allow these differences, assets and losses to be used:

- except to the extent that the deferred tax asset relating to deductible temporary differences arises from the initial recognition of an asset or liability in a transaction which is not a business combination, and, at the time of the transaction, does not affect profit or loss under financial accounting or tax accounting, and
- in the case of deductible temporary differences associated with investments in subsidiaries or associates and interests in joint ventures, the related deferred tax asset is recognized in the consolidated statement of financial position in the amount of the taxable income expected to be generated in the foreseeable future (as a result of the reversal of these temporary differences) which would enable the deductible temporary differences to be offset.

The carrying amount of a deferred tax asset is reviewed at each balance sheet date and is subject to appropriate reduction to the extent it is no longer probable that taxable income sufficient for a partial or full realization of this deferred tax asset would be generated. The unrecognized portion of the deferred tax asset is subject to reassessment at each balance sheet date and is recognized up to the amount reflecting the probability of generating future taxable income which will allow the asset to be recovered.

Deferred tax assets and deferred tax liabilities are measured using tax rates that are expected to be applied when the asset is realised or the liability is settled, taking as the basis the tax rates (and tax laws) in effect as at the end of the reporting period or the tax rates (and tax laws) whose future application is certain as at the end of the reporting period.

Income tax relating to items which are not recognized in profit or loss is not recognized in profit or loss but under other comprehensive income (income tax relating to items recognized in other comprehensive income) or directly in equity (income tax relating to items recognized directly in equity).

The Group offsets deferred tax assets and deferred tax liabilities if, and only if it has a legally enforceable right to set off the current tax receivables and liabilities and the deferred tax relates to the same taxpayer and the same fiscal authority.

7.22.3. *Value added tax*

Revenues, costs, assets and liabilities are recognized net of the amount of value added tax, except when:

- the value added tax paid on purchase of assets or services is not recoverable from the fiscal authorities, in which case it is recognized as part of the acquisition price of the asset or as part of the cost item, as applicable, or
- receivables and liabilities are recognized inclusive of the value added tax.

The net amount of value added tax recoverable from, or payable to, the fiscal authority is shown as part of receivables or liabilities in the consolidated statement of financial position.

7.23. Earnings per share

Earnings per share for each period are calculated by dividing the net result for a particular period by the weighted average number of shares in that reporting period.

8. Operating segments

The Dino Polska S.A. Group runs its operations in one business sector and has one operating and reporting segment in the form of sales in a retail store network.

Its revenues may be broken down by type of product or merchandise or product group. However, the Management Board does not measure detailed operating results generated by any of such categories, which means that it would be problematic to ascertain the unambiguous impact of the allocation of resources on each category. As such, information on revenues generated in each category is of a limited decision-making value. Because the smallest area of business for which the Management Board reviews profitability ratios is the level of the Dino Polska S.A. Group as a whole, only one operating segment has been isolated.

	<i>Year ended</i> 31.12.2017	<i>Year ended</i> 31.12.2016
Revenues on sales of products and services	571,496	428,211
Revenues on sales of goods and materials	3,944,437	2,941,306
Total	4,515,933	3,369,517

Revenues from sales of meat products produced within the Group are presented as revenues from sales of products, while revenues from retail sales of goods purchased for further resale are presented as revenues from sales of goods. The Group does not have customers whose sales would amount to more than 10% of the total value of sales. The Group generated all sales revenues in Poland.

9. Revenues and costs

9.1. Costs by type:

	<i>Note</i>	<i>Year ended</i> 31.12.2017	<i>Year ended</i> 31.12.2016
Depreciation and amortization		85,872	65,202
Consumption of materials and energy		444,107	331,610
External services		169,583	137,775
Taxes and fees		23,908	17,129

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

Employee benefits	9.3	477,028	341,805
Other costs by nature		17,339	12,659
Cost of goods and materials sold		2,996,907	2,249,878
Total costs by type, including:		4,214,744	3,156,058
Items captured in cost of sales		3,475,297	2,599,005
Items captured in sales and marketing expenses		678,687	505,855
Items captured in general administration expenses		60,025	49,434
Movement in products		735	1,764

9.2. Depreciation and amortization costs recognized in profit or loss

	<i>Year ended</i> <i>31.12.2017</i>	<i>Year ended</i> <i>31.12.2016</i>
<i>Items captured in cost of sales:</i>	9,738	4,459
Depreciation of fixed assets	9,738	4,459
<i>Items captured in sales and marketing costs:</i>	74,129	58,378
Depreciation of fixed assets	73,421	57,772
Amortization of intangible assets	708	606
<i>Items captured in overhead costs:</i>	2,005	2,365
Depreciation of fixed assets	330	652
Amortization of intangible assets	1,675	1,713

9.3. Employee benefits

	<i>Year ended</i> <i>31.12.2017</i>	<i>Year ended</i> <i>31.12.2016</i>
Salaries	376,143	272,360
Provisions for employee benefits, including:	17,531	10,049
- for unused holiday leave	6,926	3,852
- for retirement and disability benefits	272	531
- for the incentive program	10,333	5,666
Social security contributions	83,354	59,396
Total employee benefits, including:	477,028	341,805
Items captured in cost of sales	19,577	9,901
Items captured in sales and marketing expenses	429,707	310,337
Items captured in general administration expenses	27,744	21,567

9.4. Other operating income

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

	<i>Year ended</i> <i>31.12.2017</i>	<i>Year ended</i> <i>31.12.2016</i>
Impairment losses for receivables	5	20
Grants	669	155
Damages	1,454	1,589
Income for making timely payments PIT-4	76	54
Other	1,467	798
Total Other operating income, total	3,671	2,616

Other operating income include, among others, cash surplus amounts, valuation of white certificates.

9.5. Other operating expenses

	<i>Year ended</i> <i>31.12.2017</i>	<i>Year ended</i> <i>31.12.2016</i>
Impairment losses for receivables	140	160
Losses resulting from theft of merchandise	294	274
Loss on resale of property, plant and equipment	1,322	1,574
Costs of litigation	3	1
Donations	40	97
Other	554	144
Total other operating expenses	2,353	2,250

Other operating expenses include, among others, fines, costs of payment reminders.

9.6. Financial income

	<i>Year ended</i> <i>31.12.2017</i>	<i>Year ended</i> <i>31.12.2016</i>
Interest income from banks	122	73
Interest income on receivables	374	367
Foreign exchange gains	144	-
Other	15	33
Total financial income	655	473

9.7. Financial expenses

	<i>Year ended</i> <i>31.12.2017</i>	<i>Year ended</i> <i>31.12.2016</i>
Interest on bank loans	17,708	15,016
Interest on trade payables	14,541	10,355
Interest on other payables	11	4
Interest on bonds	656	-
Financial expenses of finance leases	4,432	3,454
Foreign exchange losses	-	161
Commissions	533	617

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

Total financial expenses	37,881	29,607
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Interest on trade payables includes amounts resulting from discounting such liabilities

10. Income tax

10.1. Tax expense

The key tax expense item for the year ended 31 December 2017 and 31 December 2016 are as follows:

	<i>Year ended</i> 31.12.2017	<i>Year ended</i> 31.12.2016
Recognized in profit or loss		
<i>Current income tax</i>		
Current income tax expense	(45,108)	(22,891)
<i>Deferred tax</i>		
Related to occurrence and reversal of temporary differences	(7,304)	(12,354)
Tax expense recognized in consolidated profit or loss	(52,412)	(35,245)
Consolidated statement of comprehensive income		
<i>Deferred tax</i>		
Tax on actuarial gains/losses	20	(7)
Tax credit/(tax expense) recognized in other comprehensive income	20	(7)

10.2. Reconciliation of effective tax rate

The reconciliation of income tax on profit (loss) before tax at the statutory tax rate with income tax calculated at the Group's effective tax rate for the years ended 31 December 2017 and 31 December 2016 is as follows:

	<i>Year ended</i> 31.12.2017	<i>Year ended</i> 31.12.2016
Profit before tax from continuing operations	266,016	186,455
Profit before tax	266,016	186,455
Tax at the statutory tax rate in Poland at 19% (19% in 2016)	(50,543)	(35,426)
Investment allowance for operating in a special economic zone	1,134	853
Tax effect of expenses related to the incentive system	(1,425)	-
Income and expense items that are never taxable or deductible	(1,578)	(672)
Tax at the effective tax rate	(52,412)	(35,245)
Income tax (expense) recognized in consolidated profit or loss	(52,412)	(35,245)

10.3. Deferred tax

Deferred tax is calculated on the basis of the following items:

<i>Consolidated statement of financial position</i>	<i>Consolidated profit and loss account for the year ended</i>
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DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

	31.12.2017	31.12.2016	31.12.2017	31.12.2016
<i>Deferred tax liability</i>				
Temporary difference in the value of fixed assets	11,742	6,412	5,330	829
Fixed assets used under a lease agreement	1,900	5,427	(3,527)	2,193
Prepaid interest on loans received and interest accrued as at the balance sheet date	4,274	3,949	325	3,935
Provision for future income	4,734	2,901	1,833	2,409
Other	22	6	16	-
Presentation adjustment*	(19,177)	(13,197)	(5,980)	(4,456)
Deferred tax liability	3,495	5,498		
<i>Deferred tax assets</i>				
Impairment of receivables	-	39	(39)	21
Difference in measurement of inventories	8,603	4,904	3,699	1,553
Provisions for pension severance pay	267	255	12	97
Provision for unused holiday leave	3,569	2,414	1,155	714
Provision for other liabilities (e.g. energy, bonuses, audit of financial statements)	2,388	2,858	(470)	2,246
Mandate contracts paid in the subsequent year	199	84	115	(80)
Social security contributions	2,841	1,882	959	479
Other (including foreign exchange losses, accrued interest)	2,684	3,163	(479)	2,984
Losses deductible from future taxable income	2,544	2,884	(340)	872
Temporary difference in the value of fixed assets	3,467	3,173	294	239
Allowance on the amount of eligible capital expenditures for business in a Special Economic Zone	4,000	4,000	-	-
Prepaid rents	6,175	14,408	(8,233)	(8,233)
Difference in the value of trademarks	-	-	-	(3,880)
Presentation adjustment*	(19,177)	(13,197)	(5,980)	(4,456)
Deferred tax assets	17,560	26,867		
Deferred tax expense			(7,304)	(12,354)

*** The presentation adjustment is associated with offsetting the deferred tax asset and liability at the level of distinct member companies of the group.*

In its calculation of deferred income tax, in 2013 the Group recognized a deferred tax asset on the amount of prepaid rents for the lease of investment property within the Group. According to analysis performed by the Management Board, tax regulations stipulate that prepaid rents became taxable revenue on the date of their receipt, whereas tax-deductible expense is settled throughout the term of the lease agreement. For balance sheet purposes, this transaction is canceled out by way of consolidation exclusions, thus a negative difference emerges between the carrying amount and the taxable amount of the prepayments at the Group level. As at 31 December 2017, the value of the deferred tax asset on account of these prepayments was PLN 6,175 thousand (PLN 14,408 thousand as at 31 December 2016).

In 2015, the Management Board made a decision to concentrate its marketing and trademark management activities in Pol-Food Polska sp. z o.o., a company which had previously been engaged in private label management activities within the Group. As a result of this decision, intangible assets in the form of "Dino" and "Agro – Rydzyna" trademarks were transferred Pol-Food Polska sp. z o.o. Also transferred to this company were employees in charge of discharging those functions who had previously been employed by other member companies of the Group. Among the reasons for the reorganization decision was the objective to create within the Group an entity specialized in carrying out marketing and trademark management activities.

The utilization of existing competence of the staff of Pol-Food Polska sp. z o.o. reinforced by that of other companies' employees is intended to enable the creation, within the Group, of a professional competence center streamlining the Group's operations, reducing its operating expenses and ensuring better legal protection for its

trademarks. Transactions related to the transfer of the said trademarks to Pol-Food Polska sp. z o.o. were effected on the basis of the fair values of the trademarks as at the transaction date. These values were also used as the basis for the depreciation of the trademarks for tax purposes by the entity that became their new owner as a result of the reorganization. Consequently, a negative temporary difference was created between the carrying amount and the tax value of these trademarks. The Management Board estimated future tax results of both Pol-Food Polska sp. z o.o. and the Group and applied its discretion to the possibility of recognizing trademark depreciation charges as tax-deductible expenses. As at 31 December 2017 and 31 December 2016, the Group did not recognize any deferred tax asset on this account.

In 2016 the Company received a dividend from a subsidiary in which the Company holds 100% of its shares. The dividend was tax exempt because the Company holds 100% of its shares in a subsidiary for more than 2 years (according to art. 22 of the Corporate Income Tax Act).

The Management Board analyzed the possibility of tax settlement of the above transactions in the adopted manner and on the basis of the documentation in its possession regarding binding tax interpretations and professional judgment, and entered these transactions in the ledgers and consolidated financial statements in accordance with the above description. It should be pointed out in this context that the Management Board keeps monitoring the interpretations issued by the competent authorities and the legislative changes being introduced in Poland, meaning that it cannot be ruled out that the Management Board's estimates or judgments as to the suitability of the above approach get modified in the future.

Pursuant to permit no. 204 of 29 October 2010 and permit no. 289 of 14 April 2014 issued by Wałbrzyska Specjalna Strefa Ekonomiczna "INVEST-PARK" sp. z ograniczoną odpowiedzialnością as the administrator the Wałbrzych Special Economic Zone, Dino Krotoszyn sp. z o.o. is covered by an exemption from corporate income tax applicable to the company's business referred to in these permits.

Pursuant to permit no. 157/LSSE of 5 July 2017 issued by Legnicką Specjalną Strefę Ekonomiczną S.A. [Legnica Special Economic Zone], Dino Południe sp. z o.o. is covered by an exemption from corporate income tax applicable to the company's business referred to in this permit.

The said exemptions are contingent in nature. The use of an exemption covering a business conducted in a Special Economic Zone may be the subject matter of an inspection by competent authorities. If the inspection reveals that the company fails or will fail in the future to satisfy all pertinent requirements, it may have the exemptions withdrawn and be required to pay overdue tax liabilities with interest. The provisions of the Special Economic Zones Act stipulate that the right to an exemption may be revoked if any of the following circumstances occurs:

- the company ceases to conduct its business within the area of the zone in respect of which the permit was issued,
- the company grossly fails to satisfy the conditions set forth in the permit,
- the company fails to remove any deficiencies ascertained during the inspection by the time limit for their removal specified in the summons issued by the minister in charge of the economy,
- the company transfers in any form the ownership of the assets to which the tax exemption applied within a period of less than 5 years from the date of their entry in the accounting records,
- any machinery or equipment is apportioned to conduct any business outside the zone,
- the company receives a refund of the incurred capital expenditures in any form,
- the company is put under liquidation or is declared bankrupt

The occurrence of these circumstances may cause that the amounts carried in the financial statements may be subject to change at a later date after they are ultimately determined by the tax authorities. Dino Krotoszyn sp. z o.o. and, as a consequence, the Group recognized an asset by virtue of unused tax credits. As at 31 December 2017, the maximum value of this asset was PLN 8,986 thousand. In 2017, the Group recognized an asset by virtue of unused tax credits in the amount of PLN 4,000 thousand (in 2016: PLN 4,000 thousand). This asset was recognized on the basis of revenues forecasted for a 5-year period, reflecting projections about the future. The basis for calculating the maximum intensity of aid is 40% of eligible expenses.

Taxable income was calculated on the basis of the Group's long-term plans assuming an increase in sales and higher production capacities owing to ongoing investments.

11. Non-current assets classified as held for sale

As at 31 December 2017 and 31 December 2016, no non-current assets were classified as held for sale.

12. Earnings per share

Basic earnings per share shall be calculated by dividing consolidated net profit for the period attributable to ordinary owners of the parent by the weighted average number of ordinary shares outstanding during the period. The Group does not have any diluting instruments in place.

	<i>Year ended</i> <i>31.12.2017</i>	<i>Year ended</i> <i>31.12.2016</i>
Net profit attributable to ordinary shareholders	213,604	151,210
Number of shares used for the calculation (000s)	98,040	98,040
Earnings per share	2.18	1.54

On 1 December 2016 the Extraordinary Shareholder Meeting adopted a resolution to split the Shares by reducing the nominal value of one Share and to increase the number of Shares without reducing the Company's share capital. The number of Shares was increased from 9,804,000 to 98,040,000 under this resolution. According to the foregoing resolution, the exchange rate for all the Company's Shares is 1:10, i.e. each Share in the Company with a nominal value of PLN 1.00 each is exchanged for 10 Shares in the Company with a nominal value of PLN 0.10 each. This change was registered by the competent court of registration on 27 February 2016.

13. Dividends distributed and proposed for distribution

In the period from 1 January 2017 to 31 December 2017, neither the parent company nor the subsidiaries distributed any dividends. The consolidated financial statements have been prepared before adopting a resolution on the distribution of profit for the current period. The Company's Management Board will propose allocation of the profit for the financial year to the Company's supplementary capital. In 2016, the subsidiaries paid to the parent company a dividend in the total amount of PLN 229,317 thousand.

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

14. Property, plant and equipment

Year ended 31 December 2017	<i>Land and buildings</i>	<i>Machinery and equipment</i>	<i>Means of transport</i>	<i>Other fixed assets</i>	<i>Construction in progress</i>	<i>Total</i>
Gross value as at 1 January 2017	1,116,955	207,081	25,458	155,795	41,306	1,546,595
Purchases	-	-	-	-	454,923	454,923
Sales	(5,845)	(1,343)	(171)	(1,122)	-	(8,481)
Liquidations*	(380)	73	(699)	(5,429)	(1,741)	(8,176)
Transfer from fixed assets under construction	309,283	59,172	18,034	36,490	(422,979)	-
Gross value as at 31 December 2017	1,420,013	264,983	42,622	185,734	71,509	1,984,861
Accumulated depreciation and impairment losses as at 1 January 2017	63,457	75,182	6,162	64,587	-	209,388
Depreciation charge for the period	25,450	26,624	5,967	25,448	-	83,489
Sales	(170)	(3)	(121)	(44)	-	(338)
Liquidation*	(2)	8	(635)	(4,649)	-	(5,278)
Accumulated depreciation and impairment losses as at 31 December 2017	88,735	101,811	11,373	85,342	-	287,261
Net value as at 1 January 2017	1,053,498	131,899	19,296	91,208	41,306	1,337,207
Net value as at 31 December 2017	1,331,278	163,172	31,249	100,392	71,509	1,697,600

* The line item entitled liquidation of machinery and equipment includes the reclassification between groups of current fixed assets.

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

Year ended 31 December 2016	<i>Land and buildings</i>	<i>Machinery and equipment</i>	<i>Means of transport</i>	<i>Other fixed assets</i>	<i>Construction in progress</i>	<i>Total</i>
Gross value as at 1 January 2016	843,752	155,286	15,149	120,746	40,488	1,175,421
Purchases	-	-	-	-	379,184	379,184
Sales	-	(187)	(624)	(107)	(30)	(948)
Liquidations	(654)	(755)	(290)	(4,433)	(930)	(7,062)
Transfer from fixed assets under construction	273,857	52,737	11,223	39,589	(377,406)	-
Gross value as at 31 December 2016	1,116,955	207,081	25,458	155,795	41,306	1,546,595
Accumulated depreciation and impairment losses as at 1 January 2016	43,853	55,370	3,505	48,494	-	151,222
Depreciation charge for the period	19,742	20,297	3,387	19,457	-	62,883
Sales	-	(17)	(506)	(6)	-	(529)
Decreases	(138)	(468)	(224)	(3,358)	-	(4,188)
Accumulated depreciation and impairment losses as at 31 December 2016	63,457	75,182	6,162	64,587	-	209,388
Net value as at 1 January 2016	799,899	99,916	11,644	72,252	40,488	1,024,199
Net value as at 31 December 2016	1,053,498	131,899	19,296	91,208	41,306	1,337,207

The carrying amount of fixed assets used as at 31 December 2017 under finance leases was PLN 187,721 thousand.

The carrying amount of fixed assets used as at 31 December 2016 under finance leases was PLN 166,410 thousand.

The subject matter of the executed lease agreements is predominantly the equipment used in the stores and warehouses and the acquisition of cars, refrigerated trailers and forklifts. The initial payment under such agreements does not exceed 10%. The breakdown of liabilities under lease agreements is presented in note 15.

Bank loan agreements entered into by the Group required the establishment of collateral on its assets (note 23).

15. Leases

15.1. Finance lease liabilities

As at 31 December 2017 and 31 December 2016, the future minimum lease payments under these agreements and the present value of the minimum net lease payments were as follows:

	<i>31.12.2017</i>		<i>31.12.2016</i>	
	<i>Minimum payments</i>	<i>Present value of payments</i>	<i>Minimum payments</i>	<i>Present value of payments</i>
Within 1 year	47,418	43,551	45,159	41,588
From 1 to 5 years	88,321	84,172	81,118	76,788
Over 5 years	-	-	-	-
Total minimum lease payments	135,739		126,277	118,376
Minus financial expenses	(8,016)		(7,901)	
Present value of the minimum lease payments, including:	127,723		118,376	
Current	43,551		41,588	
Non-current	84,172		76,788	

The executed lease agreements provide for an option to acquire the leased assets after the lease term.

15.2. Future minimum lease payments under operating leases (lease agreements):

As at 31 December 2017 and 31 December 2016, the future minimum lease payments under operating leases (lease agreements) were as follows:

	<i>31.12.2017</i>	<i>31.12.2016</i>
Within a year	20,744	19,130
From one to five years	33,236	45,777
Over five years	12,842	18,594
	66,822	83,501

Under operating leases, the Group leases roughly 17% of the total number of its stores and also its warehouse facilities. The lease agreements for the stores are executed for a definite term with an extension option for an indefinite term. The lease agreement for the warehouse facility in Piotrków Trybunalski is executed for a definite term until 2019 but provides for an extension option. A minor portion of the stores is covered by contingent fees dependent on the amount of generated revenues.

16. Intangible assets

Year ended 31 December 2017	<i>Goodwill</i>	<i>Trademarks</i>	<i>Other intangible assets</i>	<i>Total intangible assets</i>
Gross value as at 1 January 2017	64,989	17,025	18,703	100,717
Purchases	-	-	2,085	2,085
Liquidations	-	-	-	-
Gross value as at 31 December 2017	64,989	17,025	20,788	102,802
Depreciation and impairment losses as at 1 January 2017	-	-	7,645	7,645
Depreciation charge for the period	-	-	2,383	2,383
Liquidations	-	-	-	-
Depreciation and impairment losses as at 31 December 2017	-	-	10,028	10,028
Net value as at 1 January 2017	64,989	17,025	11,058	93,072
Net value as at 31 December 2017	64,989	17,025	10,760	92,774

Year ended 31 December 2016	<i>Goodwill</i>	<i>Trademarks</i>	<i>Other intangible assets</i>	<i>Total intangible assets</i>
Gross value as at 1 January 2016	64,989	17,025	15,587	97,601
Purchases	-	-	3,138	3,138
Liquidations	-	-	(22)	(22)
Gross value as at 31 December 2016	64,989	17,025	18,703	100,717
Depreciation and impairment losses as at 1 January 2016	-	-	5,348	5,348
Depreciation charge for the period	-	-	2,319	2,319
Liquidations	-	-	(22)	(22)
Depreciation and impairment losses as at 31 December 2016	-	-	7,645	7,645
Net value as at 1 January 2016	64,989	17,025	10,239	92,253
Net value as at 31 December 2016	64,989	17,025	11,058	93,072

Other intangible assets consist of acquired licenses and software depreciated in accordance with the rules adopted by the Group.

Under its intangible assets, the Group presents goodwill and trademarks of an indefinite useful life. The Group considers the trademarks of “DINO” and “Agro - Rydzyna” to be recognizable trademarks on the market and intends to use them in its operations during an indefinite period of time. Accordingly, the Group assumes that the useful life of these trademarks is indefinite and hence that they are not subject to depreciation.

According to the Management Board’s judgment, goodwill from the acquisition of Agro – Rydzyna Sp. z o.o. and the values of the trademarks should be considered from the Group’s perspective as a whole and, accordingly, should be allocated to the highest cash generation center, which is the whole Group. Based on this assumption, a test was performed for impairment of intangible assets and goodwill in compliance with the requirements arising from IAS 36. The center’s recoverable amount was calculated by applying the useful value computed on the basis of cash flow projections derived from the financial budgets covering a period of five years, as approved by senior management. As part of the impairment tests, the recoverable amount of the cash flow generating center was compared to the center’s carrying amount.

The test demonstrated that neither as at 31 December 2017 nor as at any other date covered by these consolidated financial statements there existed any indication of impairment in respect of goodwill or the trademarks.

Key assumptions applied to the calculation of the recoverable amount

- the center's recoverable amount was calculated by applying the useful value computed on the basis of cash flow projections derived from the financial budgets covering a period of five years, as approved by senior management,
- the operating profit margin is based on the average values generated in the most recent period and the Group's Strategy adopted for 2018-2022; the adopted average operating profit margin in the forecast period is 7%,
- the rate of growth in the residual period was assumed at 2%,
- a discount rate before the tax effect of 8.76% was applied to the cash flow forecasts.

Sensitivity to changes in assumptions

Management is of the opinion that no reasonably possible change to any of the key assumptions described above will result in the carrying amount of the pertinent center to be equal to its recoverable amount.

Presented below is the impact of selected key assumptions on changes in discounted future cash flows as at 31 December 2017:

- a change in the discount rate by +/- 1 p.p. will cause a change in the recoverable amount by (PLN 525,442) / PLN 707,645 thousand, respectively,
- a change in the operating profit margin of by +/- 1 p.p. will cause a change the recoverable amount by PLN 651,251/(PLN 651 251) thousand, respectively,
- a change in the rate of growth in the residual period by +/- 1 p.p. will cause a change in the recoverable amount by PLN 564,722/(PLN 419,186) thousand, respectively.

In all the above scenarios, the recoverable amount exceeds the center's carrying amount.

17. Other non-financial assets

	<i>31.12.2017</i>	<i>31.12.2016</i>
Fiscal receivables (including VAT, net of CIT)	32,642	21,368
Rents	49	10
Insurance	1,097	665
Other prepayments and accruals	651	404
Total	34,439	22,447
- current	34,409	22,447
- non-current	30	-

18. Inventories

	<i>31.12.2017</i>	<i>31.12.2016</i>
Materials (at cost)	7,654	4,209
Finished products (at production cost)	4,981	4,246
Merchandise (as the net achievable value)	355,627	268,086
Total inventories, at the lower of the following two values: purchase price (production cost) and net realizable value	368,262	276,541

19. Trade and other receivables

	<i>31.12.2017</i>	<i>31.12.2016</i>
Trade receivables from third parties	32,697	27,409
Trade receivables from related parties	134	131
Other receivables from third parties	5,145	6,125
Other receivables from related parties	15	-
Total receivables (net)	<u>37,991</u>	<u>33,665</u>
Impairment loss for receivables	<u>(451)</u>	<u>(545)</u>
Gross receivables	<u>37,540</u>	<u>34,210</u>

The terms of the transactions with related parties are presented in note 29.

Trade receivables usually have a 14-day term of payment and include predominantly receivables from suppliers associated with marketing campaigns.

The Group has an appropriate policy in place governing its transactions with business partners. For this reason, in the opinion of management, there is no additional credit risk extending beyond the level delineated by the impairment loss on uncollectible receivables applicable to the Group's trade receivables.

As at 31 December 2017, trade and other receivables of PLN 451 thousand (PLN 545 thousand as at 31 December 2016) were considered uncollectible receivables and thus covered by the impairment loss. Changes in the impairment loss on receivables were as follows:

	<i>31.12.2017</i>	<i>31.12.2016</i>
Impairment loss as at 1 January	545	416
Increase	140	160
Utilization	(229)	(11)
Reversal	(5)	(20)
Impairment loss as at 31 December	<u>451</u>	<u>545</u>

Analyzed below are trade receivables which as at 31 December 2017 and 31 December 2016 were past due but not considered uncollectible and as such were not included in the impairment loss.

	<i>Total</i>	<i>Non past due</i>	<i>Past due but collectible</i>			
			<i>< 30 days</i>	<i>31-90 days</i>	<i>91-180 days</i>	<i>> 180 days</i>
<i>31 December 2017</i>	32,831	23,168	2,046	4,979	1,200	1,438
<i>31 December 2016</i>	27,540	23,305	3,054	341	322	518

20. Cash and cash equivalents

Cash at bank bears interest at variable interest rates depending on the rate of interest on one-day bank deposits. Short-term deposits are made for various periods of between one day and one month, depending on the Group's current need for cash, and bear interest at the interest rates set for them. As at 31 December 2017, the fair value of cash and cash equivalents was PLN 202,626 thousand (as at 31 December 2016: PLN 66,428 thousand).

The balance of cash and cash equivalents shown in the consolidated statement of cash flows included the following items:

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

	<i>31.12.2017</i>	<i>31.12.2016</i>
Cash at bank and in hand	71,130	38,650
Short-term deposits	106,207	14,864
Other cash (cash in transit due to card payments)	25,289	12,914
Total	202,626	66,428

21. Share capital

21.1. Share capital

	<i>31.12.2017</i>	<i>31.12.2016</i>
Ordinary series A shares	98,040,000	98,040,000

21.1.1. Nominal value of shares

As at 31 December 2017 and 31 December 2016, all outstanding shares in the Group were paid up in full.

On 1 December 2016 the Extraordinary Shareholder Meeting adopted a resolution to split the Shares by reducing the nominal value of one Share and to increase the number of Shares without reducing the Company's share capital. The number of Shares was increased from 9,804,000 to 98,040,000 under this resolution. According to the foregoing resolution, the exchange rate for all the Company's Shares is 1:10, i.e. each Share in the Company with a nominal value of PLN 1.00 each is exchanged for 10 Shares in the Company with a nominal value of PLN 0.10 each. This change was registered by the competent court of registration on 27 February 2016.

21.1.2. Major shareholders

31 December 2017

<i>Shareholder</i>	<i>Number of shares</i>	<i>Percentage of share capital</i>	<i>Percentage of votes at the Shareholder Meeting</i>
Tomasz Biernacki with a subsidiary	50,103,000	51.1%	51.1%
Other shareholders	47,937,000	48.9%	48.9%
Total	98,040,000	100.0%	100.0%

31 December 2016

	<i>Number of shares</i>	<i>Percentage of share capital</i>	<i>Percentage of votes at the Shareholder Meeting</i>
Tomasz Biernacki	50,000,000	51.0%	51.0%
Polish Sigma Group S.a.r.l.	48,040,000	49.0%	49.0%
Total	98,040,000	100.0%	100.0%

22. Supplementary capital and retained earnings

Supplementary capital was created from profits generated by all member companies of the Group in previous financial years. During the year ended 31 December 2017, supplementary capital increased by PLN 601,140 thousand following the distribution of profits generated by the Group's members. During the year ended 31 December 2016, supplementary capital increased by PLN 117,701 thousand following the distribution of profits generated by the Group's members.

22.1. Retained earnings and restrictions on dividend distributions

The Group's retained earnings comprise undistributed profits of the Group's member companies. Under the retained earnings heading, the Group also recognizes effects of consolidation adjustments on equity. This type of capital also includes amounts that are not distributable, meaning that they are not permitted to be disbursed as dividends.

The annual financial statements of DINO Polska S.A. have been prepared in compliance with Polish accounting standards. Any dividend may be distributed only based on the profit disclosed the standalone annual financial statements prepared for the purposes provided for in the Company's articles of association.

In compliance with the requirements of the Commercial Company Code, the parent company is required to create supplementary capital to cover future losses. At least 8% of the profit generated in any financial year, as disclosed in the standalone financial statements of the parent company, is transferred to this category of capital until it reaches at least one-third of the parent company's share capital. The use of supplementary capital or reserve capital is at the discretion of the Shareholder Meeting, albeit part of the supplementary capital equal to one-third of the share capital may be used only to cover the loss disclosed in the parent entity's standalone financial statements and may not be used for any other purposes.

Some of the Group companies are parties to loan agreements which entail certain restrictions on the disbursement of dividends, meaning that no dividend disbursements are permitted unless no financial ratios are breached as a result.

23. Interest-bearing loans, borrowings and lease liabilities

	31.12.2017	31.12.2016
Current		
Finance lease liabilities (note 15.1)	43,551	41,588
Current account overdrafts	-	1,613
Investment loans	66,232	61,808
Loans to finance current activity	6,867	4,755
Borrowing	424	409
Issue of debt securities	654	-
	117,728	110,173
Non-current		
Finance lease liabilities (note 15.1)	84,172	76,788
Investment loans	361,359	354,117
Loans to finance current activity	24,008	19,998
Borrowing	1,051	1,475
Issue of debt securities	99,749	-
	570,339	452,378

Lease agreements and loan agreements bear interest at a variable WIBOR rate plus a margin.

The following tables present material terms and conditions of loan agreements, including any collateral established on the Group's assets.

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

<i>Type of liability</i>	<i>Date agreement signed</i>	<i>Balance of liability as at 31 December 2017* (thousands of PLN)</i>	<i>Interest rate</i>	<i>Date of repayment</i>	<i>Collateral type</i>
1. Credit facility with mBank	2013-11-22	2,136	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights to an insurance policy
2. Credit facility with mBank	2012-03-08	6,052	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
3. Credit facility with PKO BP	2012-01-26	-	WIBOR + margin	2018-10-28	joint contractual mortgage, assignment of rights to an insurance policy
4. Credit facility with PKO BP	2011-04-13	3,788	WIBOR + margin	2021-04-12	joint contractual mortgage, assignment of rights to an insurance policy
5. Credit facility with PKO BP	2013-05-23	44,236	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
6. Credit facility with PKO BP	2016-10-25	56,149	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
7. Agreement for an accounts receivable limit with Raiffeisen	2011-12-20	-	WIBOR + margin	2018-11-30	assignment of accounts receivable on account of card payments
8. Credit facility with BZ WBK	2012-07-31	21,568	WIBOR + margin	2022-07-31	joint contractual mortgage, assignment of rights to an insurance policy
9. Credit facility with BZ WBK	2014-02-20	10,964	WIBOR + margin	2019-02-28	joint contractual mortgage, assignment of rights to an insurance policy
10. Credit facility with mBank	2014-01-09	18,512	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights to an insurance policy
11. Credit facility with ING	2014-04-15	37,502	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
12. Credit facility with Bank Millennium	2014-12-18	10,252	WIBOR + margin	2020-06-17	joint contractual mortgage, assignment of rights to an insurance policy
13. Credit facility with mBank	2015-04-17	18,590	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights to an insurance policy
14. Credit facility with BZ WBK	2015-02-05	20,774	WIBOR + margin	2020-01-31	joint contractual mortgage, assignment of rights to an insurance policy
15. Credit facility with BZ WBK	2014-07-31	3,050	WIBOR + margin	2019-07-31	joint contractual mortgage, assignment of rights to an insurance policy
16. Credit facility with ING	2014-04-15	-	WIBOR + margin	2018-04-14	joint contractual mortgage, assignment of rights to an insurance policy

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

17. Credit facility with Millennium	2012-04-27	-	WIBOR + margin	2018-06-25	joint contractual mortgage, assignment of rights to an insurance policy
18. Credit facility with BZ WBK	2016-09-30	19,441	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights to an insurance policy
19. Credit facility with mBank	2016-08-16	4,269	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
20. Credit facility with mBank	2016-04-11	-	WIBOR + margin	2018-10-09	joint contractual mortgage, assignment of rights to an insurance policy
21. Credit facility with Millennium	2016-05-12	20,623	WIBOR + margin	2021-05-11	joint contractual mortgage, assignment of rights to an insurance policy
22. Borrowing from Siemens	2016-02-24	1,475	WIBOR + margin	2021-02-28	bill of exchange
23. Credit facility with PKO BP	2016-10-25	35,104	WIBOR + margin	2025-04-24	joint contractual mortgage, assignment of rights to an insurance policy
24. Credit facility with ING	2016-04-15	18,745	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
25. Credit facility with BGŻ BNP Paribas	2017-03-20	-	WIBOR + margin	2019-03-19	joint contractual mortgage, assignment of rights to an insurance policy
26. Credit facility with BGŻ BNP Paribas	2017-03-20	22,262	WIBOR + margin	2027-03-19	joint contractual mortgage, assignment of rights to an insurance policy
27. Credit facility with PKO BP	2016-10-25	10,022	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
28. Credit facility with mBank	2011-12-14	4,106	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights to an insurance policy
29. Credit facility with mBank	2009-12-22	-	WIBOR + margin	2018-11-01	joint contractual mortgage, registered pledge on inventories, assignment of rights to an insurance policy
30. Credit facility with BZ WBK	2016-05-24	28,307	WIBOR + margin	2021-04-30	joint contractual mortgage, assignment of rights to an insurance policy
31. Credit facility with mBank	2016-08-16	26,570	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
32. Credit facility with ING	2016-04-15	16,317	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
TOTAL		460,814			

* Balance of liabilities net of commissions.

In addition, the liabilities for loans and lease agreements also have security interests in the form of blank bills of exchange.

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

Type of liability	Date agreement signed	Balance of liability as at 31 December 2016* (thousands of PLN)	Interest rate	Date of repayment	Collateral type
1. Credit facility with BPH	2011-10-21	27,290	WIBOR + margin	2021-10-20	joint contractual mortgage, assignment of rights to an insurance policy
2. Credit facility with mBank	2013-11-22	2,502	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights to an insurance policy
3. Credit facility with mBank	2012-03-08	7,565	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
4. Credit facility with PKO BP	2012-01-26	-	WIBOR + margin	2017-10-28	joint contractual mortgage, assignment of rights to an insurance policy
5. Credit facility with PKO BP	2011-04-13	4,904	WIBOR + margin	2021-04-12	joint contractual mortgage, assignment of rights to an insurance policy
6. Credit facility with PKO BP	2013-05-23	55,069	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
7. Credit facility with PKO BP	2016-10-25	63,682	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
8. Agreement for an accounts receivable limit with Raiffeisen	2011-12-20	-	WIBOR + margin	2018-11-30	assignment of accounts receivable on account of card payments
9. Credit facility with BZ WBK	2012-07-31	26,274	WIBOR + margin	2022-07-31	joint contractual mortgage, assignment of rights to an insurance policy
10. Credit facility with BZ WBK	2012-08-31	1,159	WIBOR + margin	2017-08-31	joint contractual mortgage, assignment of rights to an insurance policy
11. Credit facility with BZ WBK	2014-02-20	12,366	WIBOR + margin	2019-02-28	joint contractual mortgage, assignment of rights to an insurance policy
12. Credit facility with mBank	2014-01-09	21,698	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights to an insurance policy
13. Credit facility with ING	2014-04-15	45,834	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
14. Credit facility with BPH	2011-04-20	-	WIBOR + margin	2017-07-18	joint contractual mortgage, assignment of rights to an insurance policy
15. Credit facility with Bank Millennium	2014-12-18	12,862	WIBOR + margin	2020-06-17	joint contractual mortgage, assignment of rights to an insurance policy
16. Credit facility with mBank	2015-04-17	21,154	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights to an insurance policy

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

17. Credit facility with BZ WBK	2015-02-05	23,130	WIBOR + margin	2020-01-31	joint contractual mortgage, assignment of rights to an insurance policy
18. Credit facility with BZ WBK	2014-07-31	3875	WIBOR + margin	2019-07-31	joint contractual mortgage, assignment of rights to an insurance policy
19. Credit facility with mBank	2009-12-22	-	WIBOR + margin	2017-12-07	joint contractual mortgage, registered pledge on inventories, assignment of rights to an insurance policy
20. Credit facility with mBank	2011-12-14	5,226	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights to an insurance policy
21. Credit facility with BZ WBK	2014-07-31	-	WIBOR + margin	2017-08-31	joint contractual mortgage, assignment of rights to an insurance policy
22. Credit facility with PKO BP	2016-10-25	11,350	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
23. Credit facility with ING	2014-04-15	45	WIBOR + margin	2018-04-14	joint contractual mortgage, assignment of rights to an insurance policy
24. Credit facility with Millennium	2012-04-27	410	WIBOR + margin	2017-06-25	joint contractual mortgage, assignment of rights to an insurance policy
25. Credit facility with BZ WBK	2016-05-24	30,061	WIBOR + margin	2021-04-30	joint contractual mortgage, assignment of rights to an insurance policy
26. Credit facility with BZ WBK	2016-09-30	19,939	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights to an insurance policy
27. Credit facility with mBank	2016-08-16	30,170	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
28. Credit facility with mBank	2016-08-16	4,785	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
29. Credit facility with mBank	2016-04-11	-	WIBOR + margin	2017-10-09	joint contractual mortgage, assignment of rights to an insurance policy
30. Credit facility with Millennium	2016-05-12	11,890	WIBOR + margin	2021-05-11	joint contractual mortgage, assignment of rights to an insurance policy
31. Borrowing from Siemens	2016-02-24	1,884	WIBOR + margin	2021-02-28	bill of exchange
TOTAL		445,124			

* Balance of liabilities net of commissions.

In addition, the liabilities for loans and lease agreements also have security interests in the form of blank bills of exchange.

24. Provisions for employee benefits

The Group's entities pay retiring employees retirement severance benefits in the amount defined by the Labor Code. Consequently the Group, based on a valuation prepared by a professional actuary firm, recognizes a provision for the current value of the retirement severance benefit liabilities.

A summary of the benefits, provision amount and reconciliation presenting the changes of the balance during the financial period is presented in the table below:

	<i>Retirement and disability benefits</i>	<i>Benefits under the incentive program</i>	<i>Total</i>
Opening balance as at 1 January 2017	1,341	5,666	7,007
Current service cost	91	-	91
Actuarial gains and losses	107	-	107
Benefits paid	(5)	(5,666)	(5,671)
Interest costs	47	-	47
Closing balance as at 31 December 2017	1,581	-	1,581
Short-term provisions	350	-	350
Long-term provisions	1,231	-	1,231

	<i>Retirement and disability benefits</i>	<i>Benefits under the incentive program</i>	<i>Total</i>
Opening balance as at 1 January 2016	830	-	830
Current service cost	543	5,666	6,209
Actuarial gains and losses	(37)	-	(37)
Benefits paid	(19)	-	(19)
Interest costs	24	-	24
Closing balance as at 31 December 2016	1,341	5,666	7,007
Short-term provisions	226	5,666	5,892
Long-term provisions	1,115	-	1,115

The terms and conditions of the incentive program have been described in note 29.4.

The main assumptions made to value the employee benefits as at the reporting date are as follows:

	<i>31.12.2017</i>	<i>31.12.2016</i>
Discount rate (%)	3.20%	3.50%
Anticipated inflation rate	2.50%	2.50%
Employee turnover	14.20%	14.50%
Anticipated salary increase rate	3.50%	3.50%
Weighted average duration of the old-age and disability severance pay liabilities	8.14	8.71

Sensitivity analysis

Change of the adopted discount rate by 0.5 percentage points:

	<i>Increase</i> <i>(thousands of PLN)</i>	<i>Decrease</i> <i>(thousands of PLN)</i>
31 December 2017		
Impact on the defined benefit liabilities	(62)	67
31 December 2016		
Impact on the defined benefit liabilities	(56)	61

Change of the salary increase rate by 0.5 percentage points:

	<i>Increase</i> <i>(thousands of PLN)</i>	<i>Decrease</i> <i>(thousands of PLN)</i>
31 December 2017		
Impact on the defined benefit liabilities	68	(64)
31 December 2016		
Impact on the defined benefit liabilities	64	(59)

25. Trade and other payables and deferred revenue

25.1. Trade and other financial payables (short-term)

	<i>31.12.2017</i>	<i>31.12.2016</i>
To related entities	3,657	5,082
To other entities	659,871	446,386
Trade payables	663,528	451,468
Employee payroll liabilities	33,242	21,911
Investment liabilities to related parties	45,680	58,284
Investment liabilities to other parties	21,266	10,999
Other liabilities	1,782	685
Other liabilities	101,970	91,879
Total	765,498	543,347

Rules and terms of payment of the aforementioned financial liabilities:

The terms of the transactions with related entities are presented in note 29 of Notes and explanations.

The trade payables are carried as at the balance sheet date based on the adjusted purchase price (note 7.16) and settled according to diversified terms ranging from 14 to 60 days, depending on the subject matter of the transaction.

Other liabilities are usually settled with a 30-day payment term.

25.2. Other non-financial liabilities

	<i>31.12.2017</i>	<i>31.12.2016</i>
Liabilities on taxes, customs duties, social security and other dues		

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

Corporate income tax	20,729	10,268
VAT	12,157	8,997
Personal income tax	5,692	3,939
Social security liabilities	26,973	17,450
Other	1,272	692
Total	66,823	41,346
- current	66,823	41,346
- non-current	-	-

25.3. Accruals and deferred revenue

	31.12.2017	31.12.2016
Accrued expense from:		
Unused holiday leaves	19,631	12,705
Other	952	522
Deferred income from:		
Grants (including white certificates)	789	87
Total	21,372	13,314
- current	20,824	13,227
- non-current	548	87

26. Notes to the consolidated statement of cash flows

The causes of the differences between the changes resulting from the consolidated statement of financial position and the changes resulting from the consolidated statement of cash flows are presented in the tables below:

	Year ended 31.12.2017	Year ended 31.12.2016
Movement in receivables resulting from the consolidated statement of financial position	(4,326)	(11,979)
Movement in receivables on the sale of fixed assets	(1,171)	(427)
Movement in state budget receivables	(11,274)	(3,186)
Movement in receivables in the consolidated statement of cash flows	(16,771)	(15,592)

	Year ended 31.12.2017	Year ended 31.12.2016
Movement in liabilities resulting from the consolidated statement of financial position	372,187	251,704
Movement in loans	(15,766)	(67,822)
Movement in finance lease liabilities	(9,347)	(31,452)
Movement in investment settlements	3,063	(18,306)
Movement in settlements regarding issue of debt securities	(100,000)	-
Movement in income tax liabilities	(10,461)	(6,900)
Movement in liabilities in the consolidated statement of cash flows	239,676	127,224

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

	<i>Year ended</i> 31.12.2017	<i>Year ended</i> 31.12.2016
Movement in provisions in the consolidated statement of financial position	(7,429)	11,088
Movement in deferred tax liabilities	2,003	(4,910)
Movement in provisions in the consolidated statement of cash flows	(5,426)	6,178

In 2017 cash flow from operating activities was adjusted for the costs of the incentive program totaling PLN 7,500 thousand.

27. Investment liabilities

As at 31 December 2017, the Group undertook to incur expenditures under concluded preliminary agreements for the purchase of plots of land in the amount of PLN 174,415 thousand (as at 31 December 2016: PLN 103,102 thousand). Contingent liabilities relating to sureties extended by the Parent Company, as described in the separate financial statements, concern loans for companies consolidated in the Group.

28. Contingent liabilities

As at 31 December 2017 and 31 December 2016 the Group did not have any material contingent liabilities.

28.1. Litigation

As at 31 December 2017 and 31 December 2016 the Group was a party to several legal actions which, in the Management Board's opinion, did not cause any major claims.

28.2. Tax settlements

Tax settlements and other areas of activity subject to regulation (e.g. customs or foreign currency related issues) may be subject to inspection by administrative bodies authorized to impose high penalties and fines. Lack of references to established laws in Poland results in unclarities and inconsistencies in the prevailing regulations. Frequent differences of opinions as to legal interpretation of the tax regulations, both within the state bodies, and between the state bodies and enterprises, give rise to areas of uncertainty and conflicts. Therefore, the tax risk in Poland is much higher than usually observed in the countries with better developed tax systems.

Tax settlements may be subject to inspection for a period of five years, starting from the end of the year of the tax payment. As a result of such inspections, the Group's tax settlements may be increased by additional tax liabilities. In the Management Board's opinion, as at 31 December 2017 and 31 December 2016, there were no grounds to recognize additional provisions for identified and measurable tax risk.

29. Information on related parties

The tables below present the total amounts of transactions concluded with related parties for the reporting periods subject to these consolidated financial statements:

<i>Related party</i>	<i>Sale to related parties</i>	<i>Purchases from related parties</i>	<i>Receivables from related parties</i>	<i>Liabilities to related parties</i>
Key managers (Management Board members) of the Group				
2017	1	-	-	-
2016	1	-	-	-
Supervisory Board				
2017	-	-	-	-

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

	2016	-	-	-	-
	<i>Sale to related parties</i>	<i>Purchases from related parties</i>	<i>Receivables from related parties</i>	<i>Liabilities to related parties</i>	<i>Bonds</i>
<i>Parties related through the majority owner</i>					
<i>Zakłady Mięsne "Biernacki" Tomasz Biernacki</i>					
2017	3	531	8	105	-
2016	3	571	3	53	-
<i>Davi Przedsiębiorstwo Handlowe sp. z o.o.*</i>					
2017	-	-	-	-	-
2016	2	1,616	-	-	-
<i>BT Development BT Kapitał sp. z o.o. sp.k.</i>					
2017	37	4,346	2	840	-
2016	16	1,552	3	402	-
<i>BT Inwestycje sp. z o.o.</i>					
2017	-	-	-	-	-
2016	-	7	-	-	-
<i>BT Nieruchomości sp. z o.o.</i>					
2017	-	46	-	82	-
2016	-	-	-	-	-
<i>BT Kapitał sp. z o.o.</i>					
2017	-	-	-	-	2,008
2016	-	-	-	-	-
<i>Inwestycje BT Kapitał sp. z o.o. SKA</i>					
2017	-	-	1	-	-
2016	-	92	-	-	-
<i>Krot Invest KR Inżynieria sp. z o.o. SKA</i>					
2017	631	201,031	69	44,339	-
2016	552	160,336	53	57,686	-
<i>Krot Invest 2 KR Inżynieria sp. z o.o. sp.k.</i>					
2017	3	11,498	-	2,159	-
2016	12	7,594	1	2,015	-
<i>Zielony Rynek 1 BT Kapitał sp. z o.o. sp.k.</i>					
2017	6	466	3	125	-
2016	2	433	1	51	-
<i>Zielony Rynek 2 BT Kapitał sp. z o.o. sp.k.</i>					
2017	8	454	3	90	-
2016	5	206	1	37	-
<i>Zielony Rynek 3 BT Kapitał sp. z o.o. sp.k.</i>					
2017	12	1,982	8	395	-
2016	20	1,571	1	170	-
<i>Zielony Rynek 4 BT Kapitał sp. z o.o. sp.k.</i>					
2017	3,651	1,397	39	305	-
2016	-	1,296	-	142	-
<i>Zielony Rynek 6 BT Kapitał sp. z o.o. sp.k.</i>					
2017	2,183	2,640	15	818	-
2016	-	3,730	30	249	-
<i>Mleczarnia Naramowice sp. z o.o.</i>					
2017	27	4,412	-	-	-
2016	183	18,590	25	1,073	-

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

*Parties related through a minority owner***

Harper Hygienics S.A.

2017	-	519	-	-	-
2016	-	1,856	-	492	-

Hoop Polska sp. z o.o.

2017	-	1,157	-	-	-
2016	-	4,489	-	942	-

Dystrybucja Polska sp. z o.o.

2017	-	-	-	-	-
2016	-	23	-	-	-

EP Serwis S.A.

2017	-	-	-	-	-
2016	-	86	-	-	-

Parties related through key personnel

Agrofirma Spółdzielcza

2017	5	-	-	4	-
2016	8	-	13	-	-

TBE sp. z o.o.

2017	5	795	1	75	-
2016	5	711	1	55	-

* Since 22 June 2016 DAVI Trading Company sp. z o.o. is no longer a party related to Tomasz Biernacki and consequently the transactions effected after that date are presented as transactions with other entities.

** Since 19 April 2017, the companies related through a minority owner (Polish Sigma Group S.a.r.l.), which sold its shares in a public offering, are no longer related parties, and consequently transactions concluded after this date are presented as transactions with other entities.

29.1. Terms of related party transactions

The terms of the transactions concluded by the Group with other related entities in the year ended 31 December 2017 and as at 31 December 2016 were concluded on an arm's length basis.

29.2. Loans to Management Board members

As at 31 December 2017 and 31 December 2016 the Group did not grant any loans to Management Board members.

29.3. Other transactions with participation of Management Board members

As at 31 December 2017 and 31 December 2016 there no transactions with participation of Management Board members than those listed in these consolidated financial statements.

29.4. Remuneration for the Group's senior management

	<i>Year ended</i> <i>31.12.2017</i>	<i>Year ended</i> <i>31.12.2016</i>
<i>Parent company's Management Board</i>		
Short-term employee benefits (salaries)	1,562	1,224
<i>Parent company's Supervisory Board</i>		
Short-term employee benefits (salaries)	532	501
Total	2,094	1,725

In addition to the benefits described above, the Management Board members received the benefits specified in the agreements governing the terms of membership in the Company's incentive program and in the incentive program established by Polish Sigma Group S.à r.l. in Luxembourg, which was the Company's shareholder at the end of 2016, payments under which were conditional on the success of the IPO of Dino Polska. According to the terms of the programs, the Management Board members were obligated to purchase Dino Polska shares in the Company's IPO for almost 50% of the benefits received (after income tax). The detailed provisions of these programs have been presented in the Company's prospectus, as approved by KNF on 17 March 2017, and in the Company's financial statements for 2016. Michał Krauze received PLN 1,300 thousand and Szymon Piduch PLN 6,200 thousand under the incentive program. The total amount awarded to the Management Board members by Polish Sigma Group S.à r.l. was PLN 7,500 thousand (out of which 17.33% was paid to Michał Krauze and 82.67% to Szymon Piduch). According to the regulations in IFRS 2 "Share-based Payments", the foregoing amount was recognized as a compensation cost in correspondence with the Company's other equity.

30. Information concerning the fee charged by the statutory auditor or the entity authorized to audit the financial statements

The table below presents the fee charged by the entity authorized to audit the financial statements paid or due for the year ended 31 December 2017 and 31 December 2016 split by the types of services:

<i>Type of services</i>	<i>Year ended</i> <i>31.12.2017*</i>	<i>Year ended</i> <i>31.12.2016*</i>
Mandatory audit of financial statements	331	272
Review of interim financial statements	72	-
Other services**	343	414
Tax consulting services	-	-
Total	745	686

* Refers to Ernst & Young Audyt Polska spółka z ograniczoną odpowiedzialnością sp. k.

** Other services pertain to audit services related to the review of data included in the prospectus before the initial public offering of shares.

31. Objectives and principles of managing financial risk

The main financial instruments used by the Group include bank loans, bond issue, finance lease and hire-purchase agreements, cash and short-term deposits. The main objective of these instruments is to raise funding for Group's activities. The Group also holds various other financial instruments, such as trade receivables and payables, which arise directly from its activities.

The rule followed by the Group currently and throughout the whole period covered by the consolidated financial statements is to refrain from dealing in financial instruments.

The main types of risk arising from the Group's financial instruments include interest rate risk, liquidity risk, FX risk and credit risk. The parent company's Management Board verifies and agrees the principles of managing each type of risk – these principles are discussed briefly below.

31.1. Interest rate risk

The Group's exposure to the risk arising from changes in interest rates refers primarily to non-current financial liabilities. The Company does not hedge its investments and liabilities using derivative financial instruments.

Interest rate risk - sensitivity to changes

The table below presents sensitivity of the profit (loss) before tax to the reasonably possible changes in interest rates, assuming that the other factors do not change (in connection with floating interest rate liabilities). The impact on the Group's equity or total comprehensive income is not presented.

	<i>Increase / decrease by percentage points</i>	<i>Impact on profit or loss before tax</i>
Year ended 31 December 2017		
PLN	+ 1	(6,892)
PLN	- 1	6,892
Year ended 31 December 2016		
PLN	+ 1	(5,299)
PLN	- 1	5,299

31.2. Credit risk

Transactions effected by the Group are settled mainly in cash. Credit risk pertains to one franchisee, with whom the Group has been cooperating for many years, and supplier marketing support transactions. Since marketing support services pertain to suppliers who are at the same time the Group's buyers, the credit risk is insignificant.

31.3. Liquidity risk

The Group monitors the liquidity risk using a periodic liquidity planning tool. The tool takes into account the maturities of both investments and financial assets (e.g. the amount of receivables, other financial assets) and projected cash flows from operating activities.

The Group aims to maintain a balance between continuity and flexibility of financing by using different financing sources, such as overdrafts, bank loans, other loans, bond issues and finance leases.

Dino Group's EBITDA was PLN 401,386 thousand in 2017 and PLN 288,291 thousand in 2016. The Dino Group defines EBITDA as operating profit plus depreciation and amortization and adjusted by non-recurring costs related to the initial public offering of the Dino Polska shares conducted in late March/early April 2017. Non-recurring costs amounted to PLN 7,500 thousand in 2016 and PLN 12,272 thousand in 2017. These costs included: costs of preparation and conduct of the offering, costs of consulting and preparation of the prospectus, costs of promotion of the offering and costs under the incentive program for the management staff.

The tables below present the Group's financial liabilities as at 31 December 2017 and as at 31 December 2016, by maturity date, based on contractual undiscounted payments.

31 December 2017	<i>On demand</i>	<i>Up to 1 year</i>	<i>From 1 year to 5 years</i>	<i>More than 5 years</i>	<i>Total</i>
Interest-bearing loans and borrowings	-	87,260	356,600	58,375	502,235
Securities issued	-	654	99,749	-	100,403

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

Other liabilities (finance lease)	-	47,418	88,321	-	135,739
Trade and other payables	-	765,570	-	-	765,570
	-	900,902	544,670	58,375	1,503,947

31 December 2016	<i>On demand</i>	<i>Up to 1 year</i>	<i>From 1 year to 5 years</i>	<i>More than 5 years</i>	<i>Total</i>
Interest-bearing loans and borrowings	-	81,901	355,860	50,745	488,506
Other liabilities (finance lease)	-	45,159	81,118	-	126,277
Trade and other payables	-	543,497	-	-	543,497
	-	670,557	436,978	50,745	1,158,280

32. Financial instruments

32.1. Fair value of individual classes of financial instruments

In the Group's opinion, the fair value of cash, short-term deposits, trade receivables, trade payables, bank loans, other loans, bonds and finance lease liabilities does not deviate from carrying amounts.

	<i>Carrying amount</i>	
	<i>31.12.2017</i>	<i>31.12.2016</i>
<i>Financial assets – Loans and receivables</i>		
Trade receivables	32,831	27,540
Total	32,831	27,540
Cash and cash equivalents	202,626	66,428
	<i>Carrying amount</i>	
	<i>31.12.2017</i>	<i>31.12.2016</i>
<i>Non-current financial liabilities – carried at amortized cost</i>		
Interest-bearing loans and borrowings	386,418	375,590
Issue of debt securities	99,749	-
Finance lease liabilities	84,172	76,788
Total	570,339	452,378
<i>Current financial liabilities – carried at amortized cost</i>		
Interest-bearing loans and borrowings	73,523	68,585
Issue of debt securities	654	-
Finance lease liabilities	43,551	41,588
Trade payables	663,528	451,468
Total	781,256	561,641

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

32.2. Revenue, expense and profit and loss items captured in the statement of profit or loss by financial instrument category

Year ended 31 December 2017

	<i>Interest income / (expense)</i>	<i>Gains (losses) arising from changes in foreign currency exchange rates</i>	<i>Reversal / (recognition) of impairment losses</i>	<i>Valuation gains / (losses)</i>	<i>Profit / (loss) on sales of financial instruments</i>	<i>Other</i>	<i>Total</i>
<i>Financial assets</i>							
Trade receivables	374	144	137	-	-	-	655
Cash and cash equivalents	122	-	-	-	-	-	122
Total	496	144	137	-	-	-	777

	<i>Interest income / (expense)</i>	<i>Gains (losses) arising from changes in foreign currency exchange rates</i>	<i>Reversal / (recognition) of impairment losses</i>	<i>Valuation gains / (losses)</i>	<i>Profit / (loss) on sales of financial instruments</i>	<i>Other</i>	<i>Total</i>
<i>Financial liabilities</i>							
Interest-bearing loans and borrowings	(16,401)	-	-	-	-	-	(16,401)
Liabilities under financial lease agreements and hire-purchase agreements	(4,870)	-	-	-	-	-	(4,870)
Trade payables	(14,541)	-	-	-	-	-	(14,541)
Other financial liabilities	(2,069)	-	-	-	-	-	(2,069)
Total	(37,881)	-	-	-	-	-	(37,881)

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

Year ended 31 December 2016

	<i>Interest income / (expense)</i>	<i>Gains (losses) arising from changes in foreign currency exchange rates</i>	<i>Reversal / (recognition) of impairment losses</i>	<i>Valuation gains / (losses)</i>	<i>Profit / (loss) on sales of financial instruments</i>	<i>Other</i>	<i>Total</i>
<i>Financial assets</i>							
Trade receivables	367	-	(140)	-	-	-	227
Cash and cash equivalents	73	-	-	-	-	-	73
Total	440	-	(140)	-	-	-	300
<i>Financial liabilities</i>							
Interest-bearing loans and borrowings	(15,016)	-	-	-	-	-	(15,016)
Liabilities under financial lease agreements and hire-purchase agreements	(3,454)	-	-	-	-	-	(3,454)
Trade payables	(10,355)	(161)	-	-	-	-	(10,516)
Other financial liabilities	(621)	-	-	-	-	-	(621)
Total	(29,446)	(161)	-	-	-	-	(29,607)

32.3. Interest rate risk

The table below presents the carrying amount of the Group's financial instruments exposed to interest rate risk by age category

31 December 2017	<i>< 1 year</i>	<i>1-3 years</i>	<i>3-5 years</i>	<i>> 5 years</i>	<i>Total</i>
Finance lease liabilities	43,551	69,408	14,764	-	127,723
Bank loans and borrowings	73,782	176,291	154,463	56,281	460,817
Bonds issued	3,030	105,406	-	-	108,436

31 December 2016	<i>< 1 year</i>	<i>1-3 years</i>	<i>3-5 years</i>	<i>> 5 years</i>	<i>Total</i>
Finance lease liabilities	41,588	56,020	20,768	-	118,376
Bank loans and borrowings	68,585	145,056	181,778	48,756	444,175

Finance lease liabilities and bank loans bear interest at variable interest rate. The interest rate on variable interest rate financial instruments is updated in periods shorter than one year. The Group's other financial instruments which are not presented in the tables above do not bear interest and hence are not subject to interest rate risk.

33. Capital management

The main objective of the Group's capital management is to maintain a good credit rating and safe capital ratios which will support the Group's operating activities and increase the shareholder value.

The Group manages the capital structure and introduces adjustments thereto as a result of changes in the economic conditions. To maintain or adjust the capital structure, the Group may change the dividend payout to shareholders, return the capital to shareholder or issue new bonds. In the years ended 31 December 2017 and 31 December 2016 the Group did not make any changes to the objectives, rules and processes in place in this area.

The Group monitors the level of capital using the leverage ratio, calculated as the ratio of net financial and trade liabilities to the sum of capital plus net financial and trade liabilities. The net financial and trade liabilities include interest-bearing loans and borrowings, bonds, trade payables and other payables, minus cash and cash equivalents.

	<i>31.12.2017</i>	<i>31.12.2016</i>
Interest-bearing loans and borrowings and issued securities and finance lease liabilities	688,067	562,551
Trade and other payables	811,592	574,726
Minus cash and cash equivalents	(202,626)	(66,428)
Net financial and trade liabilities	1,297,033	1,070,849
Total equity	904,493	683,476
Equity and net financial and trade liabilities	2,201,526	1,754,325
Leverage ratio	59%	61%

34. Employment structure

The headcount in the Group in the year ended 31 December 2017 and 31 December 2016 was as follows:

DINO POLSKA S.A. GROUP
Consolidated financial statements for the year ended 31 December 2017
prepared in accordance with the International Financial Reporting Standards approved for application in the EU
Accounting principles (policies) and notes
(in thousands of PLN)

	<i>Year ended</i> <i>31.12.2017</i>	<i>Year ended</i> <i>31.12.2016</i>
Parent Company's Management Board	2	2
White-collar employees	1,618	1,501
Blue-collar employees	11,509	9,137
Total	13,129	10,640

35. Events after the reporting period

In the opinion of the Management Board, there were no other material events after the balance sheet date requiring disclosure in the consolidated financial statements.

Iwona Kowalczyk

Chief Accountant

Szymon Piduch

President of the
Management Board

Michał Krauze

Member of the
Management Board